Independent Valuation Study — Educational Analysis

ADNOC Logistics & Services plc (ADX: ADNOCLS)

Marine logistics and shipping group — integrated logistics, shipping and services · Abu Dhabi Securities Exchange · reports in US dollars, trades in UAE dirhams · analysis anchored on the closing price of AED 6.16 on 2026-08-07, with the cash-flow model built at 2026-03-31.

READ FIRST — what this document is. This is an educational valuation study. It contains no recommendation, no credit opinion on the shares and no forecast of where the price will go. What it contains is a fair-value range built from the company's own audited and reviewed financial statements, a sourced cost of capital and explicitly listed assumptions — together with a separate, probabilistic map of where the share price could trade over the next one and three months. The two are different objects and are never blended.

What a fair value is not. A fair-value estimate is a statement about what the business appears to be worth on the assumptions set out here. It is not a forecast of the share price and it carries no implied timeframe. A share can trade above or below an intrinsic estimate for years.

Two currencies, one company. The company reports in US dollars and its shares trade in UAE dirhams. Every number in this study is built in dollars, and converted to dirhams only at the final per-share line, at the fixed parity of 3.6725 dirhams to the dollar that the Central Bank of the UAE has maintained since 1997. Amounts are in US dollars unless a dirham sign says otherwise; per-share figures are in dirhams so that they can be compared with the screen.

How the market is measured, and it is published both ways. The cost of equity here rests on a beta of 1.103, measured by regressing the share's own weekly returns on the published index of its own exchange — the FTSE ADX General Index. That is the index the share is listed against, and it is the right yardstick. An earlier construction of this study measured the market instead as an equal-weight composite of the same exchange's names and obtained 0.705. The difference is a property of index construction rather than of the company: the published index is weighted by size and is dominated by the same large-capitalisation group this share belongs to, while an equal-weight composite gives the exchange's smallest names the same say as its largest. On the published index the cash-flow model gives AED 6.40 a share; on the composite, AED 9.37. The first is adopted. Both are computed in full, both appear side by side in every table that matters, and they are never averaged into a single number.

This is a twice-corrected edition, and both rounds of correction are listed. This study has been through two rounds of external review. 4 independent readers raised 166 findings between them; every one was priced and adjudicated, and the ones that survived scrutiny have been acted on. The first round rebuilt the tanker fleet vessel by vessel, made the cost of capital charge for every kind of capital the company actually uses, stopped the joint ventures being counted twice, replaced the asset lens with a method this company's distribution policy does not break, and struck earnings per share after the coupon on securities that rank ahead of the ordinary shares. The second round put a USD 1.3 billion vessel purchase into the model that the first edition had omitted altogether, stopped the smallest tankers being carried at a rate that moved the opposite way from theirs, re-based receivable days onto the revenue the forecast is actually built at, and corrected two descriptions that did not match what the model does. The section headed “What changed in these editions, and why”, immediately after the caveats, sets both rounds out row by row with the direction and the size of each. A study that has been corrected and does not say so is worse than one that was right the first time.

Headline

ADNOC Logistics & Services is the marine logistics and shipping arm of the Abu Dhabi National Oil Company, listed on the Abu Dhabi Securities Exchange since June 2023. It runs three disclosed business units. Integrated Logistics — offshore contracting, offshore services and offshore projects — owns 33 jack-up barges and 40 offshore support vessels and works almost entirely for the parent group. Shipping owns 52 tankers, 20 gas carriers and a dry-bulk and container fleet. Services runs petroleum ports, bunkering and onshore logistics. Revenue was USD 5,016 million in FY2025, compounding +35% a year over the two years from FY2023, and the group earned USD 1,469 million before interest, tax, depreciation and amortisation.

On 7 Aug 2026 — the day the closing price this study is anchored on was set — the company announced the purchase of 11 more vessels for about USD 1.3 billion: 6 very large crude carriers and 5 gas carriers. The crude carriers and most of the gas carriers were bought secondhand for delivery in the third quarter of 2026; the rest are gas carrier newbuildings resold from a Chinese yard, arriving in the fourth. It takes the owned crude fleet from 8 vessels to 14 and the gas fleet to twelve very large gas carriers. The first edition of this study omitted it entirely, which meant a fair value that excluded the vessels was being compared with a market price that already included them. They are now in the model: each class joins the fleet on its own announced delivery date and earns from that date, and the USD 1.3 billion is added both to net debt in the bridge and to the asset base that depreciates. The announcement also corroborates a correction the first round of review produced. That round cut the crude fleet from the 53 tankers on the books at the FY2025 year end to the 52 owned at the valuation date, because a very large crude carrier had been sold in January — taking that class to 8. The company now says the purchase takes it to 14, and 8 plus 6 is 14. The corrected count is the one the company itself is counting from.

The two halves of the business behave completely differently, and averaging them is the main way this company gets mis-valued. About 53% of 2026E revenue is already contracted with the parent group, against a long-term contracted revenue backlog of roughly USD 25.0 billion. The other half is a merchant fleet: 56 vessels across the group trade at spot rates, and the company discloses that a change of USD 1,000 a day in what they earn moves group earnings by about USD 20 million a year. On the company's own disclosure 31% of 2026E earnings sits on spot rates, falling to 23% by 2029E as contracted gas and logistics capacity comes in.

That merchant half is having an extraordinary year, and reading how extraordinary takes one step of care. The company publishes a single rate per vessel class per quarter, and that rate is a blend: it averages the vessels trading in the open market together with the vessels already fixed on charters out at rates agreed months or years earlier. Asked about the figure for the largest class on the first-quarter call, the chief financial officer said it “was related to our full fleet of 8, and it includes all the vessels on long-term charter as well … it's a blended rate that we give there, which is obviously less than the spot rate.” So the published figure understates what an uncommitted vessel earns, by exactly the drag of the vessels inside it that are not free to earn it. Very large crude carriers earned a published average of USD 52,466 a day across FY2025; the published figure was USD 145,000 for the first quarter of 2026 and USD 260,000 was indicated for the second. Strip out the 4 of 8 vessels in that class already on charter out, each at its own disclosed rate, and the rate the remaining vessels must have earned in the first quarter is USD 199,838 a day. The long-range classes moved the same way. The first quarter as a whole showed revenue of USD 1,083 million (-10% year on year, because low-margin chartered-in trading fell away), earnings before interest, tax, depreciation and amortisation of USD 368 million (+7%) and attributable profit of USD 203 million (+12%). All three of those movements are on the basis the company's own commentary uses, which is the basis its business-unit table is on. The reviewed statements carry a different first-quarter 2025 revenue comparative — tanker revenue and direct costs for the first three quarters of that year were re-presented, with no effect on profit — and on the statutory comparative the same revenue movement is -8% rather than -10%. The statements are what every historical line in this study is built from; the commentary basis is the only one on which the two years are comparable unit by unit, so it is the one quoted beside unit figures, and the difference is stated rather than left to be discovered. Whether those rates hold is the whole valuation.

This study says they do not hold, and prices the fleet reverting over five years to the average of what it earned in FY2024 and FY2025. That is a judgement, and section 1.7 sets out the outside evidence for it. On that base the four lenses centre at AED 7.05 against a market price of 6.16 — 14% above the market price. The cash-flow lens on its own lands at AED 6.40, 4% above the market price, and the three notional experts in Appendix C, who price mid-cycle earnings rather than a terminal value, centre at AED 6.11, 1% below the market price. The honest conclusion is that the evidence brackets the screen price rather than pointing away from it: the widest reads sit meaningfully above, the asset lens sits well below, and the two constructions that stay closest to the company's own reported cash — the cash-flow lens and the expert panel — sit within a few per cent of the market. This is not a study that finds a mispricing.

The reason that conclusion is stronger than it looks rests on the discount rate. Measured against the published index of its own exchange, this share's beta is 1.103 — it moves with the market, near enough one for one, on 159 weekly observations. The economic prior for an asset-heavy fleet owner is that it carries the risk of the market its ships trade in whoever signs the charter, and that prior is now confirmed by the regression rather than contradicted by it. The two views have converged, which they had not done when the market was measured a different way: an equal-weight composite of the same exchange's names gives 0.705 and lifts the cash-flow lens to AED 9.37. That construction is published beside the adopted one throughout, because a gap of AED 2.97 a share that turns on how an index is weighted is something a reader is entitled to see rather than a detail to bury. The point estimate is not precise, and this edition says so more plainly than the last: the standard error on it is 0.315, which puts the 90% interval at [0.586, 1.621] and carries the cash-flow lens from AED 3.42 to AED 12.24 once the rate anchor and the capital programme move with it. The largest open question is still not the discount rate but where tanker rates settle after 2026, which is section 1.7.

Valuation summary — every read at a glance

Read	Basis	Range (AED/sh)	Central	vs price
Discounted cash flow	five-year free cash flow to the firm, cost of capital gliding 8.6% to 7.8% on the share's own beta of 1.103 against the published index of its own exchange and on all three kinds of capital the company uses — ordinary equity 80.0%, debt 7.2%, perpetual capital securities 12.8% at their own coupon; terminal growth 2%; 75% of enterprise value comes from the terminal value	3.42 – 12.24	6.40	+4%
Relative multiples	a blended 11.10× enterprise value to earnings and 11.64× price to earnings on 2026E, weighted 70% to the enterprise measure. The earnings multiple is the peers' FORWARD multiple applied to forward earnings; on their trailing multiples the same blend is 12.86×	6.92 – 10.76	8.64	+40%
Normalised earnings power	the five-year average of the build's own earnings — USD 2,296 million before interest, tax, depreciation and amortisation — at the same blended multiples	7.80 – 12.02	8.91	+45%
Book value and sustainable return	the ordinary book of AED 2.52 a share, plus five years of returns earned above the cost of equity of 9.43% on that book, discounted, plus a remainder that fades at 10% a year — worth 1.45× the book it starts from	2.40 – 5.40	3.66	-41%

Read	Basis	Range (AED/sh)	Central	vs price
Weighted central	**discounted cash flow 40% · relative 25% · normalised 20% · book 15%, on the beta measured against the published index of its own exchange**	**5.02 – 10.80**	**7.05**	**+14%**
Market price	closing price on 2026-08-07	—	6.16	—
ALTERNATIVE READINGS — not included in the weighted central above				
The market measured as an equal-weight composite	the identical model and identical cash flows with the beta regressed against an equal-weight composite of the same exchange's names instead of the published index of its own exchange — 0.705 instead of 1.103, cost of capital gliding 7.0% to 6.3%, and 81% of enterprise value from the terminal value. The published index is the yardstick this study adopts; the composite is shown because the gap turns on index weighting rather than on the company (section 1.8). The weighted central on this construction is AED 8.24	—	9.37	+52%
Rates hold near current levels	the same model with the fleet reverting to a rate anchor 30% above the 2024-2025 average rather than to it — the direction the company's own guidance points, and not this study's base (section 1.7)	—	7.94	+29%
Perpetual securities at coupon value	the same model deducting the perpetual capital securities at the present value of their coupon, USD 1,242 million, instead of their carrying value of USD 1,979 million (section 1.1). Read what makes the two differ: capitalising the same coupon at the securities' OWN rate of 4.90% returns USD 1,979 million, the carrying value to the dollar. This alternative is therefore a statement about the rate the claim should be discounted at, not a second valuation of it	—	6.77	+10%

The alternative readings are shown so that each genuinely contested or consequential choice carries a number the reader can see, rather than being averaged silently into the headline. They are deliberately excluded from the weighted central because each answers a different question — how the market against which this share's risk is measured should itself be measured, where shipping rates settle, and whether a perpetual security is a liability at face or at coupon — and blending them would hide the difference instead of showing it. Ranges are bear-to-bull within each lens, and within the cash-flow lens the bear and bull cases are a COMPOSITE of three stresses moved together, not the beta alone. Each end takes one end of the beta's own 90% confidence interval — 1.621 at the bear end and 0.586 at the bull end — and moves the mid-cycle rate anchor and the capital programme against the value at the same time. Reading the beta off by itself, the published grid in section 1.9 puts the 1.621 case at AED 4.30 against a published bear of 3.42, so roughly AED 0.88 of that bound is the other two stresses rather than the statistics. The bounds are still drawn from the estimate's own interval rather than from round numbers chosen by hand — but they are not the span the estimate alone supports, and an earlier edition described them as though they were. Those bounds are WIDER in this edition than in the last one, and the reason is worth stating rather than burying: the beta has been re-measured on the exchange's own trading week, and its 90% interval widened from [0.758, 1.412] to [0.586, 1.621]. The bear and bull cases take those bounds directly, so they widened with it. A published range that grows is not a defect in the study; it is the honest width of what 159 weekly observations on a 3.1-year history can support, and the previous edition's tighter range was claiming more precision than the data holds. The index reading is the largest of the three alternatives: AED 2.97 a share separates the two constructions on the cash-flow lens and AED 1.19 on the weighted central, and both are carried at full size through section 1.1, section 1.8, the comparison in section 4 and the expert panel. Terminal value is 75% of the cash-flow model's enterprise value — a high share, disclosed here, again in the bridge, and stressed in section 1.9.

Company overview — ADNOC Logistics & Services at a glance

Item	Detail
Listed / parent	Listed on the Abu Dhabi Securities Exchange in June 2023 under the code ADNOCLS (ISIN AEE01268A239). The Abu Dhabi National Oil Company remains the controlling shareholder, and is also the principal customer
What it does	Three disclosed business units. Integrated Logistics covers offshore contracting (jack-up barges and accommodation on the parent’s offshore fields), offshore services (support and supply vessels) and offshore projects (engineering, procurement and construction contracts). Shipping covers crude and product tankers, gas carriers, and dry-bulk and container vessels. Services covers petroleum port operations, bunkering fuel and water, onshore logistics and ship management
Fleet	52 owned tankers across five size classes, of which 40 trade at spot rates and 12 are on charters out at rates already fixed; 20 owned gas carriers, 15 of them on long-term contracts; 33 owned jack-up barges plus 12 chartered in; 40 owned offshore support vessels
The purchase announced on the anchor date	11 more vessels for about USD 1.3 billion, announced 7 Aug 2026: 6 very large crude carriers, taking that class from 8 to 14, and 5 gas carriers, taking the gas fleet to twelve very large gas carriers. The crude carriers and most of the gas carriers deliver in the third quarter of 2026; the remaining gas carrier newbuildings, resold from a Chinese yard, in the fourth. Each vessel enters the model on its own delivery date and earns from it, and the purchase price is added to net debt in the bridge and to the depreciating asset base
Scale	FY2025 revenue USD 5,016 million; earnings before interest, tax, depreciation and amortisation of USD 1,469 million on the operating definition used throughout this study, or USD 1,515 million on the company's own reported definition, which adds the share of joint ventures and one-off items; attributable profit USD 839 million
How much is contracted	About 53% of 2026E revenue is already contracted with the parent group, against long-term contracted revenue of roughly USD 25.0 billion
How much is exposed to the market	56 vessels trade at spot rates on the company's own group-wide count at the FY2025 year end — wider than the 40 owned tankers free to earn the market at the valuation date in the row above, because it also covers the dry-bulk and container fleet. The company discloses that group earnings move about USD 20 million for every USD 1,000 a day change in the rate they earn, and that 31% of 2026E earnings and 23% of 2029E earnings sit on that exposure
Reporting and trading currency	Reports in US dollars; the shares trade in UAE dirhams at the fixed parity of 3.6725. The valuation runs in dollars and converts at the peg only at the per-share line, so no exchange-rate view is embedded anywhere in it
Shares outstanding	7,398 million ordinary shares
Market capitalisation	USD 12,410 million at the anchor price, or AED 45,575 million
Net debt	USD 420 million at 31 March 2026 — 0.20× the 2026E earnings this study forecasts, against the company's own stated medium-term target range of 2.0× to 2.5×. The bridge in section 1.1 deducts USD 2,021 million, which is that figure plus the deferred consideration of USD 301 million and the USD 1.3 billion committed to the August purchase
Perpetual capital securities	USD 2.0 billion of perpetual capital securities were issued in FY2025, carried at USD 1,979 million and priced at the secured overnight financing rate plus 125 basis points. They sit inside total equity in the accounts but rank ahead of the ordinary shares, so this study deducts them in the bridge — both at carrying value and at the present value of their coupon — and, because they are a third kind of capital and not a rounding on the other two, also weights them in the cost of capital at 12.8% of the total, at their own coupon of 4.90%
Distribution policy	USD 341 million for 2026, paid quarterly, rising 5% a year to 2030 on the company's own stated policy — about 2.7% on the anchor price
Tax	The UAE standard corporate rate is 9%. International shipping income is relieved, so the shipping units bore about 1% of their own pre-tax profit in FY2025 against 9% in Integrated Logistics and 4% in Services. The model taxes each unit at its own disclosed rate, and prices the top-up-tax risk separately in section 1.9

Two structural facts govern everything that follows. First, this is two businesses in one listing: a contracted, fee-like logistics operation that earns steady margins from a single creditworthy customer, and a merchant fleet whose earnings are set by a world market the company does not control. In FY2025 Integrated Logistics turned USD 2,529 million of revenue into USD 829 million of earnings, a margin of 32.8%; Shipping turned USD 2,125 million into USD 619 million, a margin of 29.1%. Second, the balance sheet is unusually light for an asset-heavy fleet owner: property, plant and equipment of USD 6,884 million is funded with net debt of only USD 420 million, because USD 2.0 billion of perpetual capital securities and a USD 0.5 billion parent facility sit between the fleet and the ordinary shares. How those securities are treated is the second contested judgement in this study, and it too is published both ways.

1 Fundamental valuation

1.1 The cash-flow model — the primary lens, with the full waterfall

The primary lens is a five-year free-cash-flow-to-the-firm model built at 2026-03-31, the date of the most recent reviewed balance sheet. Revenue is not a growth rate applied to a revenue line. Each of the seven units the company discloses is forecast on its own physical driver: the tankers literally vessel by vessel — each of the 12 vessels chartered out earns its own disclosed rate for exactly the days its own contract runs, and every other vessel earns the open-market rate solved out of the company's published class averages — the gas carriers on contracted vessel-years at the day rate implied by their own revenue, and the remaining units on what they actually earned in the first quarter of 2026, annualised and grown. Sections 1.6 and 1.7 set the build out unit by unit and vessel by vessel. Cash flow is then taken all the way to present value, line by line, below.

USD mn	2026E	2027E	2028E	2029E	2030E
Revenue	5,003	5,719	5,741	5,497	5,171
Less operating costs	(2,917)	(3,201)	(3,236)	(3,186)	(3,114)
Earnings before interest, tax, depreciation and amortisation	2,086	2,518	2,506	2,311	2,057
margin on revenue	41.7%	44.0%	43.6%	42.0%	39.8%
Less depreciation and amortisation	(575)	(662)	(703)	(727)	(733)
Earnings before interest and tax	1,511	1,856	1,802	1,584	1,324
effective tax rate on the units	3.3%	3.1%	3.3%	3.7%	4.5%
Net operating profit after tax — earnings before interest and tax × (1 − t)	1,461	1,800	1,743	1,524	1,264
Add back depreciation and amortisation	575	662	703	727	733
Less capital expenditure	(1,375)	(1,245)	(1,245)	(700)	(650)
Less change in working capital	(446)	(156)	3	69	90
Free cash flow to the firm	**215**	**1,060**	**1,205**	**1,620**	**1,437**
Less the first quarter already inside the balance sheet	(130)	—	—	—	—
Free cash flow from the valuation date	85	1,060	1,205	1,620	1,437
Cost of capital that year	8.41%	8.26%	8.11%	7.95%	7.80%
Discount factor	0.9413	0.8695	0.8043	0.7450	0.6911
Present value of free cash flow	**80**	**921**	**969**	**1,207**	**993**

Every line is computed, not typed. The waterfall runs earnings before interest, tax, depreciation and amortisation → depreciation and amortisation → earnings before interest and tax → net operating profit after tax → add back *depreciation → less capital expenditure → less the change in working capital → free cash flow to the firm → discount factor → present value. Two conventions are visible in the first column and both are deliberate. The valuation date is 2026-03-31, so only three quarters of 2026 are discounted and the first quarter's own free cash flow of USD 130 million is removed rather than counted twice — it is already inside the net debt the bridge subtracts. And tax is charged unit by unit at each unit's own disclosed effective rate, which is why the group rate runs near 3.3% rather than the 9% statutory rate: international shipping income is relieved under UAE law and the shipping units bore about 1% in FY2025. Working capital is carried at the collection, inventory and payment cycle the FY2025 statements actually show, re-based onto the revenue this forecast is built at — the table below sets out why that re-basing was needed and what it cost.*

Two lines that price a fleet, and how each is set

The capital-intensive lines in that waterfall are depreciation and working capital, and both were challenged in review. Neither is an assumption dropped in from outside, and both are worth showing rather than asserting.

Line	What the model uses	The evidence, and what a reviewer proposed instead
Depreciation on property, plant and equipment	5.80% of the average balance	The company's own accounting policy note reads: “tankers are depreciated straight line over 25 years, dry-bulk and containers 25, gas carriers 25 to 40, offshore vessels 20 to 25 and jack-up barges 40, with dry-docking components over 2 to 5”. Written off straight line over the tanker life it discloses, the fleet's stated lives imply about 4.0% a year before the short-lived dry-docking components are added. The rate used is the first quarter of 2026 annualised over that quarter's average balance. A reviewer proposed the FY2025 realised rate of 6.75% instead. Both candidates sit ABOVE what the disclosed lives imply, which is what the dry-docking components do to the blend; between the two, the rate used is the LOWER — the more conservative of the two available forward bases, because a lower charge means a higher taxable base rather than a flattered one, and the FY2025 average balance is distorted by a fleet acquired at the start of that year. It is kept, and it is sensitised
Receivable days in working capital	126.4 days	Receivables over revenue in the FY2025 statements is 108.4 days. But FY2025 revenue carries a gross-up of 2.74× over the owned tanker fleet's own charter-equivalent revenue, from chartered-in and relet trading, while the forecast is built at 1.60×. A day count calibrated on the first and applied to the second understates the receivable balance by the whole difference between the two conventions. Re-based onto the revenue the forecast actually produces, 108.4 days becomes 126.4. This is the correction that falsified a caveat the previous edition printed — see the caveats in section 7

The bridge from enterprise value to the equity

Line	USD mn	Note
Present value of the five forecast years	4,171	the sum of the present-value row above
Terminal-year free cash flow	1,056	2030E net operating profit after tax grown 2% and multiplied by one less the reinvestment rate of 18.1%; that reinvestment rate is forced to equal growth divided by the terminal return on invested capital of 11.1%, so the growth in the perpetuity is paid for rather than assumed free
Present value of the terminal value	12,577	the terminal cash flow capitalised at 7.8% less 2% = USD 18,199 million, discounted at the same year-five factor of 0.6911 that the year-five cash flow uses
Enterprise value of the operations	16,748	the two lines above
Terminal value as a share of enterprise value	**75.1%**	**disclosed here, in the summary table and in section 7; stressed in section 1.9**

Line	USD mn	Note
Plus joint ventures and associates	493	carried at the reviewed 31 March 2026 book value with no uplift; these earn outside the consolidated cash flow, principally the six gas carriers held fifty-fifty and the bunkering associate. Their earnings are taken OUT of the forecast before it starts — the disclosed unit earnings include the group's share of them, USD 21 million inside Gas Carriers and USD 16 million inside Services in FY2025 — so that adding the stakes here counts them once and not twice
Enterprise value	17,241	
Less net debt	(420)	the reviewed 31 March 2026 figure: the parent facility, third-party borrowings and lease liabilities less cash
Less deferred consideration	(301)	the contracted price of the remaining 20% of the acquired tanker business, payable in mid-2027 and carried against the investment reserve — a real claim on the enterprise and treated as one. It is also the reason the minority line below is not simply the book figure
Less the vessels bought in August 2026	(1,300)	the 11 vessels announced on 7 Aug 2026 — 6 very large crude carriers and 5 gas carriers — at the announced price. The purchase is committed and unpaid at the valuation date, so it is debt-like and comes out here; the vessels themselves are on the other side of the ledger, earning inside the forecast from their own delivery dates and depreciating in the asset base from the same dates. Taking the cost without the earnings, or the earnings without the cost, would be the error in either direction; the first edition of this study did neither and simply left the whole transaction out
Less perpetual capital securities	(1,979)	at carrying value. They sit inside total equity in the accounts but rank ahead of the ordinary shares and carry a coupon of USD 97 million a year, so the ordinary shareholder does not own them. Because they are deducted here they are also WEIGHTED in the cost of capital above, at 12.8% of the capital and at their own coupon of 4.90% — the two halves of one treatment. The alternative treatment is two lines below
Less non-controlling interests	(338)	NOT the book value of USD 272 million. USD 252 million of that book arose on the tanker combination, and that 20% is contracted for purchase in mid-2027 at a price already deducted two lines above as deferred consideration, so deducting it again at a share of equity value would count it twice. Only the remaining USD 20 million of book is lifted to its share of value. That lift costs AED 0.03 a share, against the AED 0.44 it would cost to apply the 8.8% profit share to the whole equity value and net nothing off
Equity value attributable to ordinary shareholders	**12,903**	
Fair value per share (USD)	1.74	against a market price of USD 1.68
Fair value per share (AED, at the peg)	**6.40**	**against a market price of AED 6.16 (+4%)**
ALTERNATIVE — perpetual securities at the present value of their coupon	**6.77**	**deducting USD 1,242 million, the coupon capitalised at the terminal cost of capital, instead of the USD 1,979 million carrying value. Worth AED 0.37 a share. The securities are perpetual and non-amortising, so which of the two is right depends on whether the company ever calls them; both are shown. Note what makes them differ, because it is not a second valuation of the claim: the same coupon capitalised at the securities' OWN rate of 4.90% gives USD 1,979 million, the carrying value to the dollar. The whole of the difference is the choice of discount rate, and the rate used here is 290 basis points above the one the security itself pays**

How the market is measured, computed both ways

One input in the construction above moves the answer further than any operating assumption in the study, and it is not a judgement about the company — it is a choice about what “the market” means. Regressed against the published index of its own exchange, the FTSE ADX General Index, the share's own weekly returns from 2023-06-16 to 2026-07-17 give a beta of 1.103 — 159 observations, an R-squared of 0.181, a standard error of 0.315 and a 90% interval of [0.586, 1.621]. That is the index the share is listed against, it is the yardstick this study adopts, and the estimate is close enough to one that this share is best described as moving with its market. It also settles an argument. The economic prior for a fleet owner is that it bears the risk of the market its ships trade in whoever signs the charter — a listed crude and product tanker owner would normally sit at 0.9-1.4 and a contracted marine services provider at 0.5-0.9 — and the regression now agrees with that prior rather than contradicting it.

Run the same returns against an equal-weight composite of the same exchange's names and the slope is 0.705 instead. Two qualifications before the explanation. The first is that the runs are not quite the identical regression: the published-index run pairs 159 weekly observations and the composite run pairs 163, because the index series obtained stops earlier than the exchange's own price history does and because the two series are screened and aligned to the exchange's trading week before they are paired. The samples differ by 4 weeks out of 159, so a small part of the gap between the two slopes is sample rather than market definition, and an earlier edition called them the same regression without saying so. The second is that only the published-index figure is a measurement the study is entitled to discount at: the composite is a basket assembled here, and a basket assembled by the same hand that uses it can be assembled until it agrees. It is published for comparison and it prices nothing. The rest of the difference is large and it has nothing to do with this company: a published index is weighted by size and is therefore dominated by the same large-capitalisation group the subject belongs to, while an equal-weight composite gives the exchange's smallest and least liquid names the same say as its largest. Measuring a share's co-movement against the second is measuring it against a different market. The published index is adopted; the composite construction was what an earlier version of this study used, and it is set out in full beside the adopted one below because a reader is entitled to see how much of a valuation turns on a weighting convention.

Line	Against the published index of its own exchange	Against an equal-weight composite of the same exchange's names
Beta used	1.103	0.705
Cost of equity	9.43%	7.49%
Cost of capital, explicit window	8.56%	7.00%
Cost of capital, terminal	7.80%	6.25%
Present value of the five forecast years (USD mn)	4,171	4,373
Present value of the terminal value (USD mn)	12,577	18,389
Terminal value as a share of enterprise value	75.1%	80.8%
Enterprise value (USD mn)	17,241	23,255
Equity value (USD mn)	12,903	18,877
Fair value per share (AED)	**6.40**	**9.37**
Against the market price	**+4%**	**+52%**

Identical cash flows, identical bridge, one input different — and that input is the series the returns are regressed on, not anything about the business. The whole of the AED 2.97 between the two columns is the beta, and most of it lands in the terminal value: a 155 basis point difference in the terminal cost of capital changes the capitalisation factor on a perpetuity by roughly a quarter, which is also why the terminal value falls from 81% of enterprise value to 75% of it when the published index is used. The two columns are never averaged. The left column is the adopted *construction because the published index of the exchange the share is listed on is the market this share is measured against; the right column is published so that the size of the convention is visible. Note which way the adoption cuts: it lowers the fair value and moves the cash-flow lens from 52% above the market price to 4% above the market price.*

1.2 Book value and sustainable return — the asset lens

Equity attributable to ordinary shareholders was USD 5,074 million at 31 March 2026, or AED 2.52 a share — the figure excludes the perpetual capital securities, which the accounts include inside total equity but which do not belong to the ordinary shareholder. The return earned on that equity, struck after the coupon those securities take ahead of it, runs 19.1% in 2026E and falls to 11.0% by 2030E as the rate cycle normalises and the capital base grows; across the five years it averages 16.4%. That path is struck on OPENING book, which is the convention this lens is built on and the one it uses throughout.

A separate return figure runs through the appendix and it is on a different convention, so the two are set out together rather than spliced. On CLOSING equity attributable to ordinary shareholders — the measure the reported history is naturally computed on — the return ran 14.1% in FY2023, 15.4% in FY2024 and 16.8% in FY2025, and the five forecast years run 20.8% · 21.8% · 18.7% · 15.0% · 12.1%, averaging 17.7%. Appendix A.2 now carries that row on closing equity end to end. An earlier edition put the reported years on closing equity and the forecast years on AVERAGE equity in the same row and the same sentence, which made the series read as a rise into a sustainable level; on the average-equity convention the forecast years are 22.3% · 23.6% · 20.0% · 15.8% · 12.5% instead. The direction of the series depends on which of the two is used, so mixing them was manufacturing a trend rather than reporting one. Neither convention is wrong and this study uses closing equity in the appendix, opening book in the lens below, and says which is which at each place.

The textbook form of this lens is a justified price-to-book multiple: the sustainable return less growth, divided by the cost of equity less growth. It is not used here, and the reason is arithmetic rather than taste. That formula describes a steady state in which the company distributes everything it does not need in order to fund its growth. At a sustainable return of 18.8% and growth of 2%, the payout that steady state requires is 89% of earnings. This company pays out 24% to 37% and retains the rest, which compounds its book at about 13.4% a year — above the cost of equity of 9.43%, where the formula does not merely mislead but is undefined, because the denominator it divides by has gone through zero. A lens whose central expression is undefined on the company in front of it is the wrong lens.

What is used instead is residual income, which asks the same question without the steady-state assumption: what is the book the company already has, plus the value of earning more than the cost of equity on it for as long as that lasts. The construction is the opening ordinary book; plus, for each of the five forecast years, the return on that year's opening book less the cost of equity, multiplied by that opening book and discounted; plus a remainder beyond the forecast in which the excess return decays at 10% a year. The fade is a judgement and it is the one place this lens is soft: a fleet has to be replaced at market prices rather than at the value it is carried at, so an excess return over the cost of equity cannot persist unchanged, but nothing observable fixes the speed. A slower fade would raise this lens and a faster one would lower it; at the rate used, the remainder beyond the forecast is USD 547 million of the USD 7,366 million total, and the book the company already owns is most of the rest.

Year	Opening ordinary book (USD mn)	Return on it	Less the cost of equity	Residual income (USD mn)	Discount factor	Present value (USD mn)
2026E	5,074	19.1%	+9.68pp	491	0.9138	449
2027E	5,852	20.4%	+10.98pp	643	0.8350	537
2028E	6,903	17.5%	+8.04pp	555	0.7631	424
2029E	7,909	13.9%	+4.48pp	354	0.6973	247
2030E	8,728	11.0%	+1.60pp	140	0.6372	89

Year	Opening ordinary book (USD mn)	Return on it	Less the cost of equity	Residual income (USD mn)	Discount factor	Present value (USD mn)
Total						**1,745**

Residual income is what the ordinary shareholder earns above the 9.43% it costs to hold the equity — the return in the third column less that cost, applied to the book in the second. It is positive in every forecast year and shrinking in every one of them, which is the same picture the cash-flow model gives from the other end. The opening book of each year is the model's own rolled-forward balance sheet, so this lens and Appendix A.2 cannot disagree.

Line	Value
Equity attributable to ordinary shareholders at 31 March 2026 (USD mn)	5,074
Book value per share (USD)	0.6858
Book value per share (AED, at the peg)	2.52
Plus the present value of five years of residual income (USD mn)	1,745
Plus the present value of the remainder, fading at 10% a year (USD mn)	547
Equity value on this lens (USD mn)	7,366
Implied price to book	1.45×
Fair value per share (AED)	**3.66**
Range — bear at the top of the beta's 90% interval (1.621, cost of equity 11.95%) with the return on that book scaled down; bull at the bottom of it (0.586, 6.91%) with the same scaling applied upward	2.40 – 5.40
Memorandum — the price the market pays for the SAME book, ordinary equity only	2.45×
Memorandum — the same on the wider book that also counts the perpetual securities	1.76×
Memorandum — realised value against carrying value on the January vessel sale	1.34× on the disclosed carrying value, 1.32× on the carrying value the disclosed gain implies

The first of those memorandum lines is the one to read against the justified multiple above it, and an earlier edition printed the wrong one. The lens values ORDINARY equity — AED 2.52 a share, excluding the perpetual capital securities — so the market multiple has to be struck on the same denominator. On that basis the market pays 2.45× book against the 1.45× this lens justifies, which says the share is EXPENSIVE on the asset lens. Struck on the wider book that also counts the perpetual securities the market appears to pay 1.76×, which printed beneath a justified multiple computed on the narrower book invites the opposite conclusion from a comparison that is not like for like. Both are now shown and the comparable one is named. The peer in section 1.3 that publishes a price-to-book figure trades at 1.65×, and that comparison is on the ordinary-book basis too.

The bounds move with the beta and with the return together: the bear bound of AED 2.40 takes a cost of equity of 11.95%, built on the upper end 1.621 of the beta's own 90% confidence interval, together with a proportionally lower return on that book; the bull bound of AED 5.40 takes 6.91% on the lower end 0.586 of the same interval with the same proportion applied upward. Only the cost of equity in those bounds comes from the estimate's own statistical uncertainty; the return stress beside it is a judgement, as it is in the cash-flow lens. The lens carries the lowest weight of the four, at 15%, because it inherits the same cost of equity as the cash-flow model rather than testing it independently, and because carrying value is a poor description of what a fleet is worth.

On that last point there is one piece of hard evidence, and it is worth more than any amount of argument. In January 2026 the company completed the sale of a 2017-built very large crude carrier for USD 111 million against a carrying value of USD 83 million — a realised market value of 1.34× book, on its own asset, disclosed in its own earnings release. The same release discloses a gain of USD 27 million on the sale, which implies a carrying value of USD 84 million and a ratio of 1.32× instead — the company's own two disclosures about one transaction do not quite reconcile, and both readings are shown rather than one being picked. Two further qualifications belong with the figure: the vessel was 90% owned, so the group did not keep all of the proceeds, and the sale was struck in a strong market. That tells the reader which way this lens is biased. Carrying values understate realisable value, so a book-based read of this company is conservative rather than neutral, and the gap is not small: applied across the fleet, a 1.34× ratio would lift the asset base by roughly a third. It is a single transaction on a single vessel in a strong market and it is not extrapolated into the valuation — but it is the only direct evidence available on the gap between the balance sheet and the market, and it points one way.

1.3 Relative multiples

There is no clean comparable for this company, and the reason is the same reason it is interesting: nothing else combines a contracted logistics arm working for a national oil company with an open-market tanker fleet. The frame used here therefore takes two multiples from two different kinds of shipowner and blends them on the company's own disclosed exposure, rather than picking one peer and pretending it fits.

Company	Market	Business model	EV / earnings	Price / earnings (fwd / trailing)	Price / book
Qatar Gas Transport (Nakilat)	Qatar	long-term contracted gas shipping	12.26×	13.97× / 14.15×	1.65×
Frontline plc	Oslo / New York	spot crude tankers	8.96×	6.44× / 9.98×	—
International Seaways	New York	spot crude and product tankers	8.10×	— / —	—
ADNOC Logistics & Services	**Abu Dhabi Exchange**	**half contracted logistics, half merchant fleet**	**9.53× trailing / 6.92× on 2026E**	**11.09× / 15.97×**	**2.45×**

The contracted-fleet multiple of 12.26× comes from the long-term contracted gas shipowner; the spot multiple of 8.53× is the average of the two listed spot tanker owners. Two sourcing points belong on the face of this table. First, the peer multiples are taken from data-aggregator statistics pages, named and dated in the source register, and NOT recomputed from each peer's own filings — the rule that admits only a company's own issued statements governs the subject's reported history, and it is the subject's history, not the comparators', that this study builds from. The consequence is real and is stated rather than buried: the study cannot demonstrate that a comparator's earnings are struck on the same definition as its own, which is a reason to read this lens as a cross-check on relative pricing rather than as an independent valuation. Second, the price-to-earnings column now shows forward and trailing for every row, because the multiple this lens APPLIES is the peers' forward multiple and quoting the company on a trailing figure beside forward peers — as an earlier edition did — compares two different things. The company's own price-to-book is struck on ordinary equity, the same book the comparator's figure uses and the same book the asset lens in section 1.2 values. The company's own trailing enterprise multiple uses the operating earnings definition used throughout, not the company's own wider reported one, and is struck on the same convention the peer figures use — market capitalisation plus net debt — so that the comparison is like for like. On this study's own bridge, which additionally treats the perpetual capital securities and the minorities as claims ranking ahead of the ordinary shares, the same 2026E earnings give 8.00× rather than 6.92×. Both are set out in the next table.

The same company, on two definitions of enterprise value

An enterprise multiple depends entirely on what is counted as part of the enterprise, and this company has two claims — perpetual capital securities and minority interests — that different conventions treat differently. Publishing one number without saying which convention produced it is how a comparison quietly stops comparing.

Basis	Enterprise value (USD mn)	On 2026E earnings	Where it is used
Market capitalisation plus net debt	14,431	6.92×	the convention behind the published figures for the three comparators, so it is the one the peer table above must use
This study's own bridge — the same plus the perpetual capital securities at carrying value and the minority interests	16,682	8.00×	the definition section 1.1 bridges from, because each of those claims ranks ahead of the ordinary share and is deducted there
The difference	2,251	+1.08 turns	88% of it the perpetual capital securities. A reader comparing this company with a peer that has none should know which of the two numbers they are holding

Measure	Value	Comment
Contracted-fleet multiple	12.26×	the long-term contracted gas shipowner — the closest listed analogue to the logistics and gas-carrier legs, which earn under long contracts with a single strong counterparty
Spot-fleet multiple	8.53×	the average of two listed spot tanker owners — the closest analogue to the merchant fleet, and it trades several turns lower precisely because its earnings are not contracted
Weight on the spot multiple	31%	the company's own disclosed share of earnings exposed to spot rates in 2026E — the weighting is taken from the company rather than chosen
Blended enterprise multiple	11.10×	applied to 2026E earnings of USD 2,086 million
Blended price-to-earnings multiple, forward	11.64×	the peers' FORWARD multiples blended on the same weight, applied to 2026E attributable profit after the perpetual coupon of USD 1,119 million. This is the multiple the lens uses: a forward multiple belongs on forward earnings
The same blend on the peers' trailing multiples	12.86×	published so that a reader who prefers the trailing basis can see it. It is higher, so using it would raise this lens; it is not used, because the earnings it would be applied to are forecast rather than reported. The company's own multiple is 11.09× forward and 15.97× trailing, and an earlier edition quoted only the second beside peers shown on the first
Value on the enterprise multiple (AED/share)	9.57	
Value on the earnings multiple (AED/share)	6.46	materially lower, because depreciation on a young, recently expanded fleet and the perpetual coupon both fall between the two measures — the reason this lens weights the enterprise measure more heavily
Weighted value (70% enterprise / 30% earnings)	**8.64**	**the enterprise measure carries more weight because it is the standard measure for a capital-intensive fleet owner and neutralises differences in leverage, depreciation policy and tax relief across the comparators**
Range	6.92 – 10.76	the whole group at the spot multiple, and the whole group at the contracted multiple — the two corners the ENTERPRISE reading sits between. Read the base against it carefully: the base is a weighted blend of the enterprise reading and the earnings reading, while both bounds flex the enterprise reading only, so the base of AED 8.64 does not sit in the middle of its own published span. It sits at about the 45th percentile of it. The span is a multiple range, not a symmetric error bar around the base, and it is labelled as one

Sum of the parts — the same multiples, applied where they belong

Applying one multiple to the whole group is the mistake the frame above is trying to avoid, and there is a cleaner way to say so: value each business unit on the multiple that fits it and add them. The two contracted legs — Integrated Logistics and Services — earn under long-term contracts with a single strong counterparty and take the contracted-fleet multiple. Shipping takes a blend of the contracted and spot multiples, weighted by the company's own disclosed share of earnings exposed to spot rates. This is a cross-check on the relative lens rather than a fifth lens, and it is excluded from the weighted central, but it is the construction that honours the fact that this company runs contracted work and market-exposed shipping side by side.

Business unit	2026E earnings (USD mn)	Multiple	Enterprise value (USD mn)	Why that multiple
Integrated Logistics	668	12.26×	8,193	a contracted-fleet multiple, because this leg earns under long-term contracts
Shipping	1,363	11.10×	15,135	a blend of the contracted and spot multiples, weighted by the company's own disclosed share of earnings exposed to spot rates
Services	55	12.26×	670	a contracted-fleet multiple, because this leg earns under long-term contracts
Sum of the three legs	**2,086**		**23,999**	**enterprise value of the operations, the three legs added**
Plus joint ventures and associates			493	at reviewed book value
Less net debt and deferred consideration			(2,021)	the same bridge lines as the cash-flow model
Less perpetual capital securities			(1,979)	at carrying value
Less non-controlling interests			(272)	at book value. The cash-flow bridge in section 1.1 lifts the non-contracted slice of this to its share of value, worth AED 0.03 a share; that refinement is not repeated in this cross-check
Equity value			**20,220**	**AED 10.04 a share, 63% above the market price**
MEMORANDUM — the Shipping leg with the exposure share re-based to it		10.49×	23,163	AED 9.62 a share. The 31% weight in the row above is the company's disclosed share of GROUP earnings exposed to spot rates, and every dollar of that exposure sits inside Shipping. Measured against Shipping's own 2026E earnings rather than the group's it is 47%, which lowers the leg multiple to 10.49× and the cross-check by AED 0.41 a share

The sum of the parts lands at AED 10.04 against the blended relative lens at AED 8.64, and the difference is almost entirely the earnings measure the multiple is applied to rather than the multiples themselves: the sum of the parts applies each multiple to that unit's own earnings before any group cost, while the blended lens applies its multiple to the consolidated figure and then averages an enterprise measure with an after-tax earnings measure. Both are disclosed. Neither is included in the weighted central, which rests on the cash-flow model and the three lenses beside it. On the exposure share re-based to the leg it is applied to — the memorandum row above, and the more defensible construction of the two — the cross-check reads AED 9.62 instead. The row is published as a memorandum rather than substituted into the table because the weighting the table uses is the company's own disclosed figure taken at face value, and a reader should be able to see both what the disclosure says and what re-basing it does.

1.4 Normalised earnings power — what the group earns in an ordinary year

The question this lens asks is what the company earns in a year that is neither the rate spike of 2026 nor the trough that followed the FY2024 peak. The answer used here is the five-year average of the build's own output: earnings before interest, tax, depreciation and amortisation of USD 2,296 million and attributable profit after the perpetual coupon of USD 1,231 million. That average is taken across a path that starts far above mid-cycle and ends below it, so it is a genuine normalisation rather than a disguised extrapolation of the good year.

Line	Value
Average earnings before interest, tax, depreciation and amortisation over the five forecast years (USD mn)	2,296
Against FY2025 actual (USD mn)	1,469
Against the 2026E build (USD mn)	2,086
Average attributable profit after the perpetual coupon (USD mn)	1,231
Normalised earnings per share (USD)	0.1664
At the blended enterprise multiple, through the bridge (AED/share)	10.72
At the blended 11.64× price-to-earnings multiple (AED/share)	7.11
Fair value per share — the average of the two (AED)	8.91
Range — the whole group at the spot multiple, and at the contracted multiple (the enterprise reading only; the base is an average of the two readings, so it does not sit in the middle of this span)	**7.80 – 12.02**

The two constructions disagree by a wide margin — AED 10.72 against AED 7.11 — and the gap is depreciation and the perpetual coupon. This is a young fleet: depreciation runs from 26.3% of earnings before interest, tax, depreciation and amortisation in the lightest forecast year to 35.6% in the heaviest, averaging 29.8% across the five — and RISING through them, as the newbuild programme and the vessels bought in August 2026 come into the asset base. An earlier edition quoted the first year's figure as though it were the average, which understated the very wedge this paragraph exists to explain. An enterprise measure and an after-tax earnings measure will never agree on a company like this. Averaging them is a deliberate refusal to pick, and the lens carries 20% weight accordingly. The published range flexes the enterprise reading between the spot and contracted multiples; the base is the average of that reading and the earnings reading, so it sits at about the 26th percentile of its own span rather than at the middle of it.

1.5 Synthesis — four lenses, one field

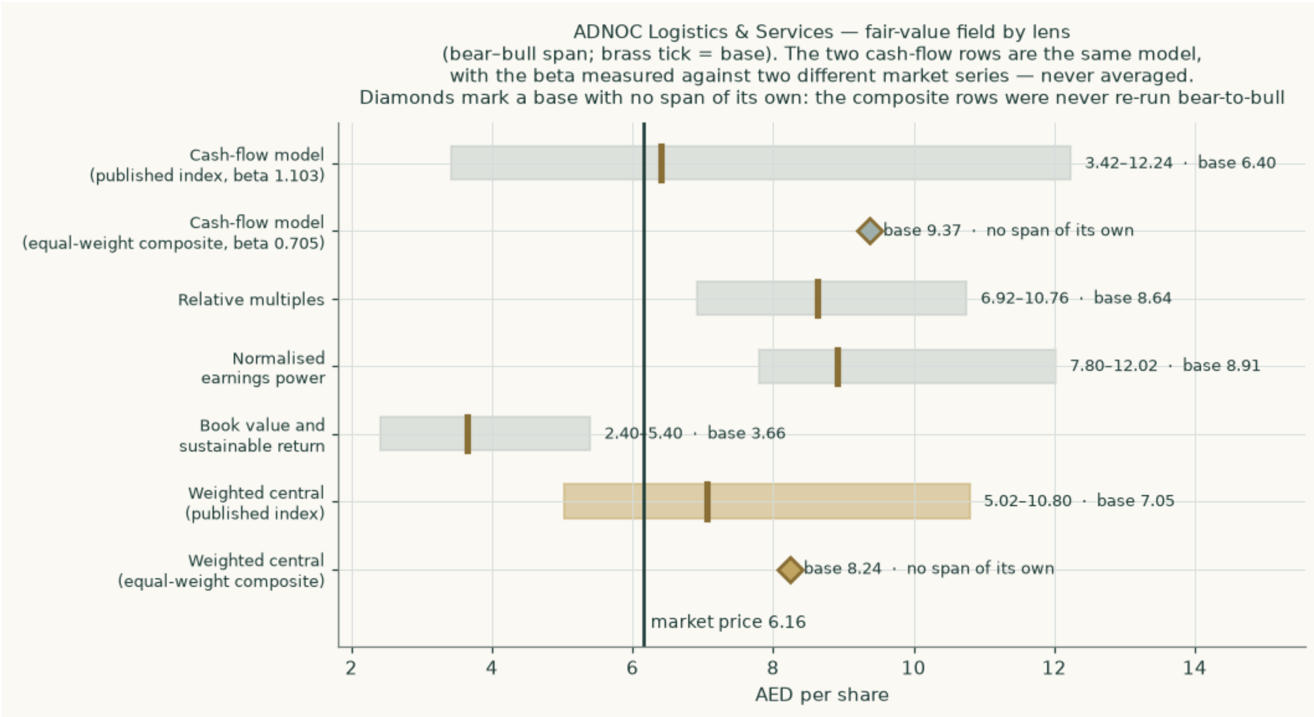

Figure 1 — the four lenses, both measurements of the market and the two weighted centrals, against the market price of AED 6.16. Each bar is that lens's bear-to-bull span; the brass tick is its base case. The two cash-flow rows are the same model with the beta regressed on two different market series.

Lens	Bear	Base	Bull	Weight	Contribution
Cash-flow model — published index	3.42	6.40	12.24	40%	2.562
Relative multiples	6.92	8.64	10.76	25%	2.159
Normalised earnings power	7.80	8.91	12.02	20%	1.783
Book value and sustainable return	2.40	3.66	5.40	15%	0.548
Weighted central — published index	**5.02**	**7.05**	**10.80**	**100%**	**7.052**
Cash-flow model — equal-weight composite	not re-run	9.37	not re-run	40%	3.748
Weighted central — equal-weight composite	**not re-run**	**8.24**	**not re-run**	**100%**	**8.238**

Contributions are shown to three decimals so that the four of them add to the weighted central exactly; rounded to the nearest fil they would come up one fil short of it, which is a display artefact rather than an arithmetic one. The two composite rows have no bear and bull of their own: only their base case was re-run on the composite beta, so the low and high cells are left empty rather than filled with the primary construction's bounds. An earlier edition filled them, which put a span around a base that sat near the top of it. One further thing a reader should know about the composite reading: at 0.705 it lies BELOW the lower bound of the adopted estimate's own 90% confidence interval of [0.586, 1.621]. It is carried at full size throughout this study because the difference between the two measurements is a fact about index construction that a reader is entitled to see — but it is a more aggressive statement about the discount rate than this study's own bull case, and that is now on its face rather than left to be worked out.

The four lenses do not agree and the disagreement is informative. The two that price earnings through a multiple — relative and normalised — land at AED 8.64 and AED 8.91, the furthest above the market of the four. The two that state a cost of equity rather than importing one land lower: the cash-flow model at AED 6.40, close to the screen, and the book lens at AED 3.66, well below it. That ordering is not a coincidence and it is the most useful thing this table says. The multiple-based lenses import a cost of capital rather than state one, and the comparators they import it from are a contracted shipowner and a pair of spot tanker owners, so they already embed an answer to the question the cash-flow model asks explicitly and answers with a measured beta of 1.103. Where the two families disagree, the disagreement is about the discount rate rather than about the cash flows.

There is a weakness in this weighting that a reader should be told about rather than left to find, and it is the largest single item still open against this study. The relative lens and the normalised lens are not independent of each other. They use the SAME three multiples — the contracted-fleet multiple, the spot multiple and the blend of them — and the same weighting between the enterprise and earnings readings. What differs between them is only the earnings denominator those multiples are applied to: the 2026E build in one, the five-year average of the same build in the other. Together they carry 45% of the weighted central. So 45% of the headline rests on one method presented as two reads, and the four-lens field is narrower evidence than four bars make it look. The counterfactual is easy to state: dropping the normalised lens and redistributing its weight would move the central toward the cash-flow and asset lenses, which are the two that sit lower. This has not been changed, because both denominators are legitimate questions to ask and neither is redundant on its own terms — but the overlap is real, it is not neutral in direction, and it is disclosed here rather than absorbed.

Weighted together, the four centre at AED 7.05, 14% above the market price. Measuring the market as an equal-weight composite instead lifts that to AED 8.24, 34% above the market price. Neither figure supports a claim that this share is materially mispriced: on the adopted construction the centre of the evidence sits about 14% above the screen, which is narrower than the bear-to-bull width of any single lens in the table and narrower than the three-month price dispersion in section 3. The honest reading of the field is that the share is close to fairly priced, with the fleet's earning power in 2027 and beyond — not the discount rate — deciding which way it resolves.

1.6 The drivers — every disclosed unit grown on its own driver

The company discloses seven operating units inside its three reported business units, with revenue, direct cost and earnings for each. The forecast is built at that level and summed; nothing is grown at the group line. Where a physical driver is disclosed it is used, and where it is not, the finest level the disclosure supports is used and the gap is stated.

The seven disclosed units, historically

Unit	Business unit	FY2023 rev	margin	FY2024 rev	margin	FY2025 rev	margin
Offshore Contracting	Integrated Logistics	975	44%	1,108	45%	1,369	46%
Offshore Services	Integrated Logistics	501	19%	553	24%	629	28%
Offshore Projects	Integrated Logistics	157	7%	620	9%	531	5%
Tankers	Shipping	407	39%	517	46%	1,720	26%
Gas Carriers	Shipping	174	58%	153	57%	180	72%
Dry-Bulk and Containers	Shipping	258	23%	287	24%	225	17%
Services	Services	284	16%	312	18%	362	17%
Group		**2,755**	**31%**	**3,549**	**32%**	**5,016**	**29%**

Revenue in USD million; margin is that unit's own earnings before interest, tax, depreciation and amortisation over its own revenue, all taken from the operating segments note. The Tankers line tells most of the story of the last three years: revenue more than tripled from FY2024 to FY2025 as the acquired fleet consolidated, while the margin fell from 46% to 26% because much of that revenue is low-margin chartered-in and relet trading that grosses up the revenue line without adding to earnings.

How each unit is driven

Unit	Driver
Tankers	Literally vessel by vessel, on the company's own charter table. 52 owned tankers in five size classes at the valuation date, of which 12 sit on charters out at disclosed fixed rates running to dates between 2026 and 2028; each of those earns its own rate for exactly the days its own contract covers, and no other. The remaining 40 earn the open-market rate, which is not assumed but solved out of the company's own published class average by removing the chartered vessels from it — section 1.7 shows the arithmetic. 2026 is built from the market rate implied by the first quarter, the level implied by the second, and a second half stepped halfway back toward the FY2025 implied rate; from 2027E the market rate glides over four years to the mid-cycle anchor, the average of the FY2024 and FY2025 outcomes. The 6 very large crude carriers bought on 7 Aug 2026 join the fleet on their announced delivery date and trade at that same market rate from it, so they earn part of 2026E and all of every year after. The smallest class is not broken out in any published rate table, so it is carried at the medium-range rate scaled by 0.79× — the relative move the company itself disclosed for it, not a substitution. Running cost is USD 9,164 a vessel-day, solved so that the owned fleet's earnings reproduce the reported FY2025 result, escalated 2% a year on wages and technical management — a services escalator, not a commodity index, because those are the physical drivers of the line
Gas Carriers	Contracted vessel-years × day rate. The company's own contract table gives 12.0 consolidated vessel-years in 2026 rising to 30.0 by 2029 as the ethane and Ruwais carriers enter service. Per-vessel rates are not disclosed, so the day rate of USD 61,573 is solved from reported FY2025 revenue over vessel-years — the finest level the disclosure supports, and flagged as solved rather than sourced. Margin held near the FY2025 outcome NET of the joint-venture profit, since the disclosed earnings of this unit include USD 21 million of the group's share of the gas-carrier joint venture and that is added separately at book value in the bridge. 15 of 20 owned vessels sit on long-term contracts
Offshore Contracting	First-quarter revenue annualised, then 4% a year as further jack-up barges and support vessels are deployed on the contracted programme. The 2026 margin is the first quarter's own margin before the one-off receivable provision, recovering toward the 2025 level as utilisation normalises.
Offshore Services	First-quarter revenue annualised, then 5% a year on the support-vessel fleet growth already under way. Margin held at the level the first quarter delivered.
Offshore Projects	The company's own stated range of USD 100-150 million of engineering and construction revenue for 2026 after the large island project completed, then a recovery as new awards replace it. This is the least visible line in the model.
Dry-Bulk and Containers	First-quarter revenue annualised and grown 2% a year; the container vessels sit on a fifteen-year contract and the bulk carriers earn charter rates that have been recovering.
Services	First-quarter revenue annualised and grown 4% a year. The margin reflects the warehouse activity moved into this unit and the warehouse activity moved into it. The group’s share of the bunkering associate is NOT in this line: it is taken out of the unit before the forecast starts and the stake is added once, at book value, in the bridge.

What the build produces — margins as outputs

USD mn	2026E	2027E	2028E	2029E	2030E
Integrated Logistics — revenue	2,036	2,194	2,331	2,446	2,566
Integrated Logistics — margin	33%	34%	35%	35%	34%
Shipping — revenue	2,611	3,155	3,026	2,651	2,189
Shipping — margin	52%	54%	54%	53%	51%
Services — revenue	355	370	384	400	416
Services — margin	15%	15%	16%	16%	16%
Group revenue	**5,003**	**5,719**	**5,741**	**5,497**	**5,171**
Group earnings before interest, tax, depreciation and amortisation	**2,086**	**2,518**	**2,506**	**2,311**	**2,057**
Group margin	**41.7%**	**44.0%**	**43.6%**	**42.0%**	**39.8%**

No margin in this table is an assumption applied to the group. For the two shipping units that carry the rate risk, the margin is a pure arithmetic output: rate per vessel-day less running cost per vessel-day. For the contracted units the unit margin is set from what that unit itself earned in the first quarter of 2026, and the group margin — which moves from 41.7% to 39.8% across the forecast — is an output of the changing mix, not a path anyone chose. The margin rises against FY2025's 29.3% mainly because the low-margin chartered-in trading that grossed up FY2025 revenue is not repeated: the first quarter of 2026 showed revenue -10% year on year while earnings rose +7% — both movements on the business-unit basis this table is built on, which is the basis the company's own commentary uses.

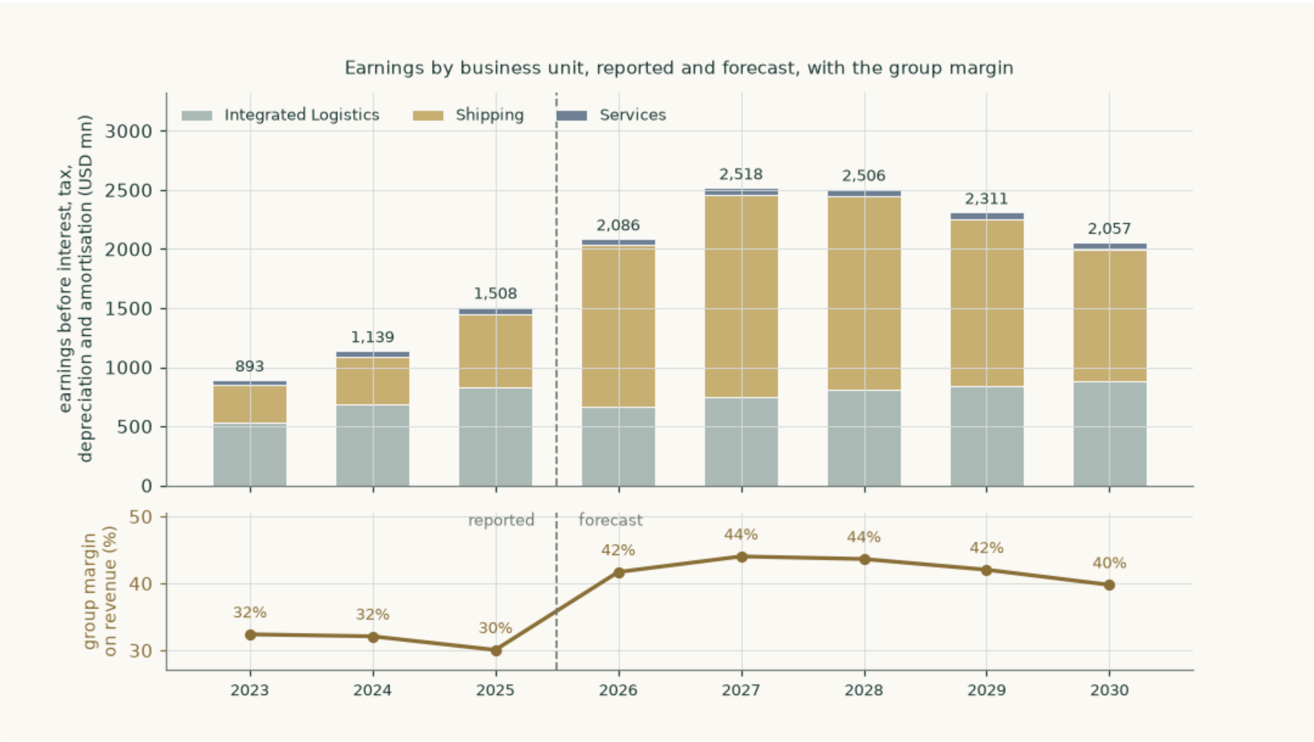

Figure 2 — earnings by business unit, reported and forecast, with the group margin. Shipping does the moving; the contracted logistics base grows steadily underneath it.

The build against the company's own guidance — a gap, stated plainly

This build sits materially above what management has guided for 2026, and that is a deliberate result of the method rather than an accident to be reconciled away.

One thing has to be established before the comparison can be read at all: the company does not publish a dollar guidance figure, for the group or for any business unit. What it publishes is DIRECTIONAL — a band in words, for revenue and for earnings, at group level and for each of the three units. Every guided figure below is this study's own conversion of those words into dollars, taken at the midpoint of the band and applied to the FY2025 figure it grows from. The conversion is shown line by line so that a reader who reads a band differently can redo it.

Line	FY2025 base (USD mn)	Guided change	Converted (USD mn)
Integrated Logistics — revenue	2,529	-27.0%	1,846
Shipping — revenue	2,125	+16.5%	2,475
Services — revenue	362	+3.5%	375
Sum of the three units — revenue	**5,016**		**4,696**
Group — revenue, on the group band	5,016	-3.5%	4,841
Difference — the group band against the three unit bands			**+144**
Integrated Logistics — earnings	829	-27.0%	606
Shipping — earnings	619	+55.0%	959

Line	FY2025 base (USD mn)	Guided change	Converted (USD mn)
Services — earnings	60	+3.5%	62
Sum of the three units — earnings	**1,508**		**1,627**
Group — earnings, on the group band and the company's own reported measure	1,515	+6.5%	1,613
Difference — the group band against the three unit bands			**-14**

Every row multiplies out. The two DIFFERENCE rows are the point of the table and they are a property of the guidance, not of this conversion: management's three unit bands and its group band do not reconcile at their midpoints. On revenue the three units imply USD 4,696 million against a group band implying USD 4,841 million; on earnings the units imply more than the group band does, and part of that second gap is a measure difference as well — the group band is stated against the company's own reported earnings figure, which adds the share of joint ventures and one-off items to the USD 1,508 million the three units sum to. An earlier edition of this study printed the unit rows and the group row in one column that did not add up, with no note that it did not. Both totals are now shown and the gap between them is named.

The build against that guidance

Business unit	Guided revenue	Built revenue	Guided earnings	Built earnings	Gap on earnings
Integrated Logistics	1,846	2,036	606	668	+10%
Shipping	2,475	2,611	959	1,363	+42%
Services	375	355	62	55	-12%
Group	**4,841**	**5,003**	**1,613**	**2,086**	**+29%**
Group, measured against the three units instead	**4,696**	**5,003**	**1,627**	**2,086**	**+28%**

Revenue and earnings in USD million; guided figures are the converted ones from the table above. The last row exists because the group guidance and the unit guidance do not agree with each other, so the gap this build carries depends on which of the two it is measured against: +29% against the group band, +28% against the sum of the unit bands. Both are published. The built figures are the output of the unit model in this section.

The group gap is +29% on earnings. Management's own explanation for why its guidance is set where it is, given with the guidance itself, is that its shipping assumptions are set well below prevailing spot rates and its logistics guidance is set at minimum activity levels. This build does not use assumptions set below the market: it marks the tanker fleet to the rates the company itself reported for the first quarter of 2026 and indicated for the second, and it sets each logistics unit at what that unit actually earned in the first quarter, annualised. Those are the company's own numbers, used at face value. The reader now has both figures and the reason for the difference, and can decide which to work from. What the reader should not do is assume the two are reconciled somewhere below: they are not, and the +29% is carried openly through every lens in this study. Note also that the gap runs the other way in Integrated Logistics on revenue, where the build is above guidance on both lines, and is largest in Shipping at +42% — which is exactly where management said it was being conservative.

1.7 The crux — what the fleet earns per day, and for how long

Everything else in this study is second order. The crux is a single question: the tanker fleet is currently earning rates several times its own recent average, and the valuation turns entirely on how long that lasts and where it settles. Getting to that question, though, requires first getting the current rate right, and the published figure is not it.

The published rate is a blend, and the company says so

The company publishes one rate per vessel class per quarter. That figure averages the vessels trading in the open market with the vessels already committed on charters out at rates fixed months or years earlier, so it is lower than what a free vessel earns and lower by an amount that depends on how many of the class are committed. Asked directly about the largest class on the first-quarter call, the chief financial officer put it plainly:

"... was related to our full fleet of 8, and it includes all the vessels on long-term charter as well ... it's a blended rate that we give there, which is obviously less than the spot rate."

An earlier edition of this study read that published figure as the open-market rate and then added the chartered vessels to the model separately at their own, lower, disclosed rates. That charges the drag of the charters twice — once inside the published average and once again beside it — and it understates the fleet. The build is now the other way round. Every one of the 12 vessels chartered out is carried individually, at its own published rate, for exactly the days its own contract runs. The open-market rate is then not assumed at all: it is solved out of the company's own published average by taking the charters back out of it — the class average multiplied by the class's vessel-days, less what the committed vessels earned, divided by the days the uncommitted vessels had. Nothing about the market rate is a judgement; it is arithmetic on the company's own disclosure.

The twelve vessels chartered out, exactly as published

Vessel	Class	Fixed rate (USD/day)	Period	Runs to
Navig8 Macallister	Long range 1	19,750	20 months	28 Mar 2027
Navig8 Martinez	Long range 1	19,750	32 months	28 Mar 2028
Navig8 Prosperity	Long range 2	30,561	36 months	4 May 2026
Navig8 Promise	Long range 2	32,125	12 months	2 Jul 2026
Navig8 Pride	Long range 2	32,125	12 months	9 Jul 2026
Navig8 Prestige	Long range 2	36,850	12 months	8 Oct 2026
Navig8 Providence	Long range 2	42,000	12 months	31 Jan 2027
Navig8 Passion	Long range 2	42,000	12 months	6 Feb 2027
Zakum	Very large crude carriers	50,633	22 months	2 Sep 2027
Hili	Very large crude carriers	50,633	22 months	16 Sep 2027
Arzanah	Very large crude carriers	70,000	12 months	1 Feb 2027
Habshan	Very large crude carriers	72,500	12 months	21 Feb 2027
12 vessels		**19,750 – 72,500**		**last expiry 28 Mar 2028**

Every field is disclosed in the company's own contract table; the start date is the stated expiry less the stated period, so no date is invented. At the valuation date of 2026-03-31, 12 of these were running, leaving 40 of the 52 owned tankers free to earn the open-market rate. The spread inside the table is the point: the two long-range-one vessels are fixed at USD 19,750 a day while the open-market rate for their class in the first quarter was USD 40,643, and the four largest vessels are fixed between USD 50,633 and USD 72,500 against an open-market rate of USD 199,838. A vessel on charter out cannot earn the market, and the model no longer pretends the fleet average is what a free vessel earns.

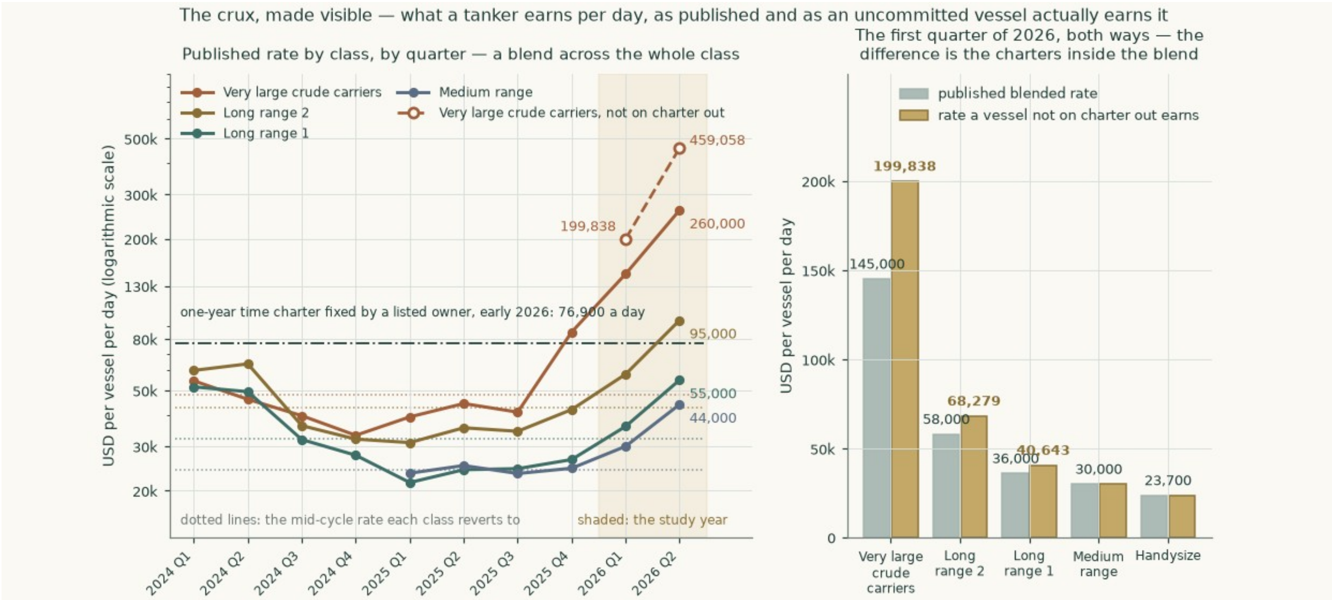

Figure 3 — the crux made visible, on both measures. Left: the rate the company publishes for each class each quarter, which is a blend across the whole class, on a logarithmic scale; the last two points are the first quarter of 2026 as reported and the second quarter as indicated. The open markers on the dashed line are the rate those same quarters imply for a very large crude carrier that is NOT on charter out — USD 199,838 against a published USD 145,000 in the first quarter. The dotted lines are the mid-cycle rates this study's base case reverts to; the dash-dotted line is an independent one-year charter fixed by a listed owner in early 2026. Right: the first quarter of 2026 for every class, published beside implied. The difference between the two bars is the charters inside the published figure, which is why it is zero for the medium-range class, where no vessel is chartered out.

Class	Owned	On charter out	FY2024	FY2025 published	FY2025 implied	2026 Q1 published	2026 Q1 implied	Mid-cycle anchor
Very large crude carriers	8	4	43,381	52,466	53,737	145,000	199,838	47,924
Long range 2	17	6	48,011	35,737	36,653	58,000	68,279	42,581
Long range 1	9	2	40,155	24,199	24,906	36,000	40,643	32,177
Medium range	16	0	24,140	24,140	24,140	30,000	30,000	24,140
Handysize	2	0	19,070	19,070	19,070	23,700	23,700	19,070

US dollars per vessel per day. “Published” is the company's own class average; “implied” is what a vessel not on charter out must have earned for that average to be true, given the charters the company also publishes. Where a class has no vessel on charter out the two are the same figure, which is the check that the construction is doing only what it claims. The mid-cycle anchor is the implied rate for the average of the FY2024 and FY2025 outcomes, which is what the base case reverts to over four years from 2027E. Counts are at the valuation date and therefore BEFORE the 6 very large crude carriers bought on 7 Aug 2026, which take that class to 14 from their delivery date and are carried in the forecast from it. Two disclosure gaps are handled and flagged. Quarterly rates for the medium-range class are not disclosed for FY2024, so the FY2025 average stands in. And the handysize vessels are not broken out in any rate table at all: an earlier edition carried them at the medium-range rate unadjusted, which was wrong in DIRECTION and not merely in size — the company said on the first-quarter call that handysize rates were softer while medium range was up, so the two smallest classes were moving opposite ways. They are now carried at 0.79× the medium-range rate, the relative move the company itself disclosed. Both classes remain small: together 18 of 52 vessels, none of them on charter out, and the smallest earners.

The scale of the move is easiest to see in the largest class. Very large crude carriers averaged a published USD 43,381 a day in FY2024 and USD 52,466 in FY2025; the published figure was USD 145,000 for the first quarter of 2026 and USD 260,000 was indicated for the second. Take out the 4 of 8 vessels in that class already on charter out and the free vessels earned USD 199,838 in the first quarter, and the indicated second quarter implies USD 459,058 — roughly 4.2 times the mid-cycle anchor this study reverts to, against the 3.0 times the published figure suggests. Against 40 owned vessels free to earn the market and the company's own disclosure that USD 1,000 a day is worth USD 20 million of annual earnings, the difference between today's rate and the mid-cycle anchor is worth well over a billion dollars a year of earnings. That is why this one judgement dominates — and it is also why the correction matters, because the same reversion judgement applied to a higher starting point produces a higher value.

Why the base case reverts — the outside evidence

A reversion assumption made without evidence is just pessimism. Two independent observations, neither of them this study's own construction, point the same way, and they are the reason the base case is a judgement with support rather than a default.

Evidence	What it shows
The forward market will not pay spot for a year of time	A listed crude tanker owner fixed seven very large crude carriers on one-year time charters in early 2026 at USD 76,900 a day, at a time when the spot rate of the moment was around USD 102,897 and this company's own uncommitted vessels went on to earn an implied USD 199,838 in the first quarter. A counterparty willing to commit for twelve months priced that year at -25.3% against the spot rate in front of it. That is a market saying, with its own money, that it does not expect spot to hold
The supply reason why	The crude tanker order book stands near 27% of the trading fleet, a seventeen-year high, with the very large crude carrier order book higher still. Ships ordered into a strong market arrive into whatever market exists when they deliver, and this is the mechanism by which every previous tanker upcycle ended
This study's own base path	The base case runs the market rate for a very large crude carrier not on charter out from USD 228,118 in 2026E down to USD 47,924 by 2030E, a straight glide to the FY2024-FY2025 average. Read against the one-year charter above, that path is the LESS pessimistic of the two: it stays above USD 76,900 until it crosses between 2029E and 2030E, so for 4 of the five forecast years this study assumes the fleet earns more than a counterparty was willing to commit to for twelve months. That cuts against this study's own conclusion and is stated rather than left for a reader to work out

The alternative — rates settling 30% above the mid-cycle anchor rather than at it — is the direction the company's own guidance and its contracted expansion point in, and it is computed in full: it gives AED 7.94 a share against the base case's AED 6.40. It is published as an alternative reading rather than adopted, because the two observations above are external, dated and specific, while the case for sustained strength rests on a view about future supply and demand that this study is not in a position to hold with confidence.

One more comparison puts the crux in proportion, and it is worth being careful about what it does and does not show. Moving the mid-cycle rate anchor across the whole tested range, from 80.0% to 120.0% of the base, moves fair value by AED 2.05 a share — and that range is wide enough to carry fair value across the market price, which it reaches between the 90% and 100% anchors. Widening the beta across the 0.705-to-1.621 range tested in section 1.9 moves it by AED 5.07, which is 2.5 times as much and remains the widest single sensitivity in the study. But the two are not comparable as open questions. The beta is measured, with a 90% interval of [0.59, 1.62] that the bear and bull cases already carry at full width; where tanker rates settle after 2026 is not measured by anything and cannot be. That is why this section, and not the discount rate, is where the study says its judgement is genuinely exposed.

1.8 Macro and country — the sourced cost of capital

The dirham has been fixed to the US dollar at 3.6725 since 1997 and monetary policy follows the Federal Reserve accordingly: the Central Bank of the UAE base rate stood at 3.65% and was maintained at its July 2026 decision, its last change being a cut from 3.90% in December 2025. That matters for this study in a specific way: because the company reports in dollars and the currency is pegged, there is no exchange-rate view anywhere in the valuation, and the whole of the country question reduces to a small sovereign premium rather than a convertibility argument.

Component	Explicit window	Terminal	Source and construction
Observed risk-free rate	4.48%		the UAE dirham Treasury bond tranche maturing January 2031, at its July 2026 auction yield
Less the sovereign default spread	(0.42%)		the published country-risk file adjusted default spread for the UAE on its Moody's Aa2 assessment. Country risk must enter once, and it enters through the premium below, so it is netted out of the observed yield here
Adjusted risk-free rate	4.06%	3.25%	the terminal figure is a long-run nominal anchor for a dollar-pegged economy: a 2% inflation objective plus a 1.25% long-run real policy rate, the same construction the terminal growth rate rests on
Beta	1.103	1.103	own-stock weekly regression against the FTSE ADX General Index, 2023-06-16 to 2026-07-17: n = 159, R-squared 0.181, standard error 0.315, 90% interval [0.586, 1.621]. The evidence table below sets this out in full alongside the equal-weight composite, which gives 0.705
Equity risk premium	4.87%	4.87%	the January 2026 country-risk file: a mature-market premium of 4.23% plus a UAE country premium of 0.64%
Cost of equity	**9.43%**	**8.62%**	**adjusted risk-free rate plus beta times the premium. On the equal-weight composite's 0.705 it would be 7.49%; on the measured slope shrunk toward the market at 1.069, 9.27%**
Cost of debt, pre-tax	5.82%	5.01%	the plain AVERAGE of three constructions built on six disclosed instruments — the evidence table follows. It is not a weighted figure and an earlier edition described it as one. Weighted by what is actually drawn the same evidence gives 5.69%, which is one of the three constructions being averaged; both are published
Cost of debt, after tax	5.30%		at the 9% statutory rate. This is the one place in the study where the statutory rate is used rather than the rate the company actually bears: the model taxes profit unit by unit at effective rates running near 3.3%, and a shield taken at 9% is larger than the relief the group in fact receives. It is inconsistent, it is disclosed, and it is worth almost nothing — debt is 7.2% of capital, so the whole difference between a statutory and an effective shield is a fraction of a basis point on the cost of capital
Cost of the perpetual capital securities	4.90%	4.50%	their own contractual coupon — the overnight financing rate plus 125 basis points. It is not tax-relieved, because the coupon is a distribution rather than interest, and it is not marked down in the terminal by anything except the risk-free rate the margin sits on: the coupon floats, so its cost normalises as the base rate does
Ordinary equity weight	80.0%	80.0%	market capitalisation of USD 12,410 million against gross debt of USD 1,115 million and perpetual capital securities of USD 1,979 million. Market-value weights throughout; book equity is never used
Debt weight	**7.2%**	**7.2%**	
Perpetual capital securities weight	12.8%	12.8%	An earlier edition of this study left this tranche out of the weights on the ground that it is already deducted in the bridge and counting it here would charge for it twice. That reasoning does not hold, and two independent reviews said so. Deducting a claim from value and pricing the capital it supplies are different operations: leaving it out took a cheap tranche of funding out of the enterprise without letting it lower the rate at which the enterprise is discounted. It is now weighted at its own coupon, which is the correction that moves the cost of capital from 9.09% to 8.56% and the terminal rate from 8.29% to 7.80%

Component	Explicit window	Terminal	Source and construction
Cost of capital	8.56%	7.80%	each forecast year is discounted at its own point on the glide between the two, and the terminal value is capitalised at the terminal rate and brought back on the same cumulative factor as the year-five cash flow — one date, one price of time
The glide, year by year	8.41% · 8.26% · 8.11% · 7.95% · 7.80%		published so the discount factors in section 1.1 are reproducible

The beta — what it was measured against, and what a different market would give

A beta is a statement about co-movement with a market, so the series chosen to stand for the market decides the answer. That series is not chosen here. It follows from where the share is listed: the regression is run against the FTSE ADX General Index (FADGI), the published, capitalisation-weighted index of the exchange the share trades on, taken as of 2026-07-24. The index series runs from 2011-01-02 to 2026-07-24 across 3,883 sessions; it and the share's own history are both screened for data quality before a single return is computed, and the returns are paired on the exchange's own trading week rather than on a calendar week that would fall on days the exchange is shut. Every figure in the table below is read out of that measurement's own record, including the description of what was measured against what.

Item	Value	Note
Market series used	FTSE ADX General Index (FADGI)	The published capitalisation-weighted index of the exchange the share is listed on — the local index the beta rule asks for, resolved from that exchange by the routine rather than chosen by the study.
Span of that series	2011-01-02 to 2026-07-24	3,883 sessions, taken as of 2026-07-24. Dropped 1 interior stale/no-trade rows
How the slope is measured	lead-lag sum	The estimate is a lead-lag sum beta: the routine regresses on one lag, the contemporaneous return and one lead and sums the three slopes, so the co-movement a thinly traded share books late is already inside the adopted figure rather than published beside it as a separate correction.
Observations in the regression	159	weekly returns from 2023-06-16 to 2026-07-17, 3.09 years — the share listed in June 2023, so a five-year window does not exist for it
Beta	**1.103**	**the adopted figure, used in the cost of equity above**
Standard error	0.315	against the estimate itself, which is the usability test this has to pass
R-squared	0.181	the share of the weekly return variance the index explains
90% confidence interval	0.586 to 1.621	the bear and bull cases in this study take these two bounds directly, so the published fair-value range is the range this estimate itself supports — and it is a wider interval than the previous edition of this study published
Shrunk toward the market	1.069	Blume shrinkage on the adopted slope — two-thirds of the measured figure plus one-third of 1.0, the standard adjustment for the tendency of a measured beta to drift toward the market over time. It is a cross-check reported by the same record, and it is not what the study discounts at.
The same regression on an equal-weight composite	**0.705**	**Equal-weight composite of the exchange's own listed names, the subject excluded. This was the regressor before the published index was available; disclosed so the effect of the change is visible, not adopted. R-squared 0.172 on 163 observations across 12 names**
The same regression on the wider two-exchange composite	0.771	ADX + DFM equal-weight composite; disclosed, not adopted. R-squared 0.183 across 26 names

Item	Value	Note
Weekly observations excluded	2	The index series ends 2026-07-24, before the last stock session used elsewhere in the study (2026-08-07). 2 weekly stock observations therefore fall outside the regression. The window stops where the index stops rather than pairing the stock against a stale index level.

Why the published index and the composite differ by 0.398 of a beta is a fact about index construction, not about the company. A published index is weighted by size, so it is dominated by the same large-capitalisation group this share belongs to and a large share moving with its large peers registers as full co-movement. An equal-weight composite gives the exchange's smallest and thinnest names the same say as its largest, so it measures co-movement against a market this share is not really a member of, and a large liquid name will look defensive against it almost mechanically. Two disclosures cut against the adopted figure rather than for it and are stated here rather than left out. The share is itself a constituent of the index it is measured against, and on a capitalisation-weighted index that cannot be removed; run the equal-weight proxy both ways and including the subject lifts the measured beta by 0.203, which is the scale of the same pull the published-index figure carries. And the index series ends 2026-07-24, before the share's last session used elsewhere in this study, so 2 weekly observations fall outside the window rather than being paired against a stale index level.

The cost of debt — six instruments, not an assumption

A single disclosed range is not evidence of what a company pays. Six separate instruments are visible in the statements and the market, and they are set out here rather than summarised into one number.

Instrument	Basis	Rate
Parent revolving credit facility, drawn January 2026	SOFR + 0.80%	4.45%
Third-party bank loans, disclosed weighted-average range 7.11%-7.55%	midpoint	7.33%
Other third-party borrowings, disclosed range 4.36%-8.31%	midpoint	6.33%
Lease liabilities, interest charged over the average balance in 2025	implied	6.47%
Perpetual capital securities placed with a third-party investor	SOFR + 1.25%	4.90%
Local government bond, the dirham tranche maturing January 2031	auction yield	4.48%
Memorandum — the same evidence weighted by what is actually drawn	balance-weighted	5.69%
Adopted cost of debt, pre-tax	**the plain average of three constructions**	**5.82%**

The spread of the evidence is the point. The parent revolving facility at the secured overnight financing rate plus 80 basis points is the cheapest money in the book and is a genuine benefit of the ownership structure; third-party bank debt costs 288 basis points more. The adopted rate sits between them. It is the plain AVERAGE of three constructions — the marginal drawdown rate on the parent facility, the blend of the instruments actually outstanding, and the midpoint of the disclosed third-party bank range — and not a figure weighted across the book, which is what an earlier edition of this study called it. The genuinely balance-weighted construction is 5.69%, is one of the three being averaged, and is shown above so that a reader who wants it can take it directly; the two are 13 basis points apart on a tranche that is 7.2% of capital. The adopted rate sits above the local sovereign yield of 4.48%, as a corporate borrowing in the same currency must. The perpetual capital securities appear in the evidence because they price the company's own subordinated risk, and they are also carried in the weights at that same 4.90% rather than averaged into the cost of debt: they are neither debt nor ordinary equity, so they get a weight and a rate of their own. They are deducted in the bridge as well, and that is not a double charge — deducting a claim from value and pricing the capital it supplies are two different operations, and doing only the first is what the earlier edition of this study got wrong.

Where this construction is contested, and what the alternatives are worth

Six choices above are legitimately arguable. Each alternative is computed and its value published, so a reader who prefers a different convention can take the number directly instead of guessing at its size.

The choice made	The alternative	Value on the alternative	Why ours
Beta measured against the published index of its own exchange, giving 1.103	The same regression against an equal-weight composite of the same exchange's names, giving 0.705 — cost of equity 7.49% instead of 9.43%	AED 9.37 against 6.40	The published index is preferred, and not narrowly: it is the index of the exchange the share is listed on, and measuring a share against a composite in which the exchange's smallest names carry the same weight as its largest measures it against a market it is not a member of. The composite is published at full size because it is what an earlier construction of this study used and the difference is large. Note that the adopted choice is the less flattering one
Perpetual capital securities deducted at carrying value	Deducted at the present value of their perpetual coupon, capitalised at the terminal cost of capital	AED 6.77, +0.37 against 6.40	Carrying value is the more conservative and is the amount that would have to be found if the securities were ever called. The coupon-value treatment is the right one if they are genuinely permanent. Both are shown in the bridge
Country risk entering once, through the premium	Using the raw local yield of 4.48% together with a premium that already contains the country charge	raises the cost of equity by the sovereign spread of 0.42% and lowers the value	That construction double-counts sovereign risk. The spread is netted from the yield and re-enters through the premium; the net country charge is therefore the premium itself, not the premium plus the spread
A single premium basis, because only one exists for this country	The credit-default-swap basis of the same published file	not available — the UAE has no sovereign swap entry in the file	This is stated rather than omitted. Gulf comparators that do carry both bases show they are not interchangeable: Saudi Arabia's swap basis gives 5.72% against 5.01% on the agency credit-rating basis, a gap of about seventy basis points. A reader should treat the single available basis as carrying that much construction uncertainty
The terminal risk-free rate on a constructed long-run anchor	Carrying the explicit window's basis into the terminal instead — the observed government yield net of the sovereign's own default spread, 4.06%, rather than the 3.25% long-run anchor used	raises the terminal risk-free rate by 81 basis points and the value with it. It has no row of its own in the grid overleaf, so the closest read-across is the beta: a step of 0.195 in the beta moves the cost of equity by about the same amount and is worth AED 1.68 — an OVERSTATEMENT of this item, because a beta step moves every year and this one moves only the terminal	The explicit window should be priced off a rate the market is quoting today; a perpetuity should not, because today's yield is a point on a cycle and a perpetuity is not. Both are defensible and the basis genuinely changes between them, which is why it is listed here rather than left inside the cost-of-capital table. An earlier edition made the switch without listing it as a choice
Tax charged unit by unit at each unit's own disclosed effective rate	A uniform 15% across the group, the domestic minimum top-up rate	AED 5.20 against 6.40	The unit rates are what the company actually bore in FY2025 — about 1% in shipping, where international shipping income is relieved. Using a statutory rate the company does not pay would be wrong; but the relief is a policy choice that can change, so the downside is priced rather than assumed away

1.9 Sensitivity

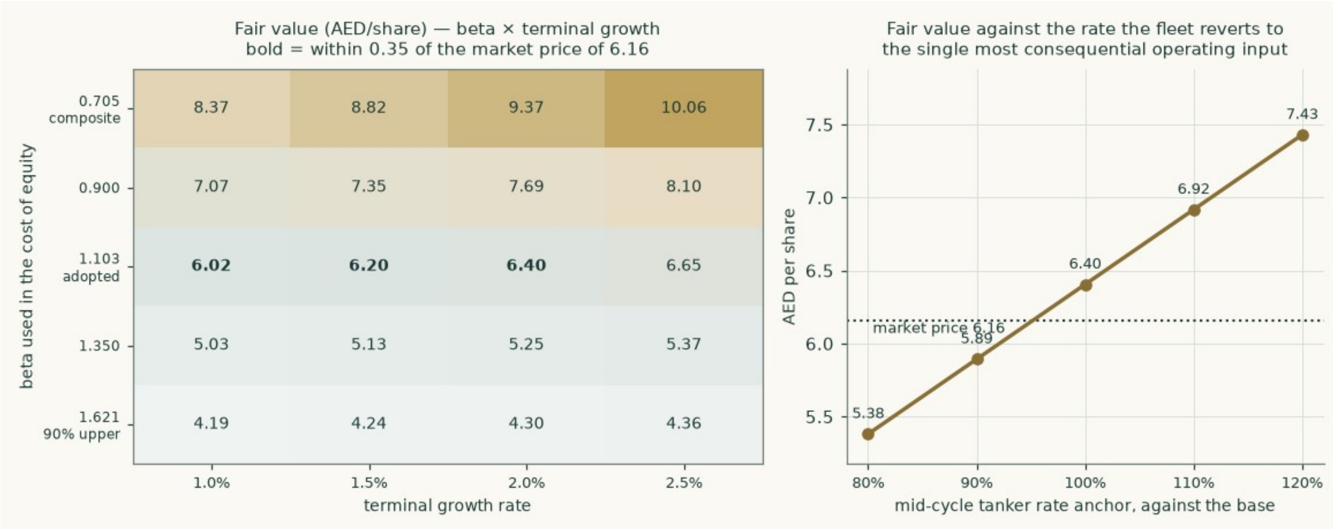

Figure 4 — left, fair value across beta and terminal growth; right, fair value against the mid-cycle rate the fleet reverts to. The market price of AED 6.16 is crossed in the beta grid between the 1.103 and 1.350 rows, and in the rate-anchor range between the 90% and 100% anchors.

Each anchor is varied independently around its own base, so each row shows what the valuation needs that one thing to do.

Beta →	0.705	0.900	1.103	1.350	1.621
terminal growth 1.0%	8.37	7.07	6.02	5.03	4.19
terminal growth 1.5%	8.82	7.35	6.20	5.13	4.24
terminal growth 2.0%	9.37	7.69	6.40	5.25	4.30
terminal growth 2.5%	10.06	8.10	6.65	5.37	4.36

Fair value in AED per share. The adopted construction is the 1.103 column at 2.0% growth, and its cell is the published cash-flow base of AED 6.40 exactly. The bear case is struck at 1.621, the top of the regression's own 90% confidence interval and the right-hand column here; the bull case is struck at the bottom of that interval, 0.586, which falls outside the grid, below its left-hand 0.705 column. The equal-weight composite alternative is the 0.705 column, and it sits inside the interval: the bull case is struck lower still, so the composite reading is no longer — as an earlier edition of this study described it — a lower discount rate than this study's own bull case takes. Beta moves the answer across the whole width of this table; growth moves it a fraction of that. Read the beta columns against the published bear and bull of AED 3.42 and 12.24 and the difference is visible: those two also move the rate anchor and the capital programme, so they are wider than the beta alone.

Sensitivity	Range tested	Fair value span (AED/share)	Swing
Beta in the cost of equity	0.705 – 1.621	4.30 – 9.37	5.07
Mid-cycle rate the fleet reverts to	80.0% – 120.0% of the base anchor	5.38 – 7.43	2.05
Capital expenditure	90.0% – 120.0% of the guided programme	5.59 – 6.81	1.22
Group tax rate	5% – 15% uniform across the group	5.20 – 6.32	1.12
Terminal growth	1.0% – 2.5%	6.02 – 6.65	0.63

Sensitivity	Range tested	Fair value span (AED/share)	Swing
Bear-to-bull scenario composite — THE PUBLISHED RANGE	three things at once: the beta at the two ends of its own 90% interval (1.621 in the bear, 0.586 in the bull), a lower mid-cycle rate anchor and a heavier capital programme in the bear, and the reverse of both in the bull	3.42 – 12.24	8.82
Memorandum — the bear beta on its own	1.621, with the rate anchor and the capital programme left at the base	4.30 against a published bear of 3.42	0.88

Ranked by single-row swing, the beta is the largest by a wide margin — larger than the operating crux, larger than the capital programme, larger than the tax exposure. That is worth reading precisely. The beta row is bounded by the disclosed composite at 0.705 and the top of the regression's own 90% interval at 1.621, so most of its width is measured statistical uncertainty; the width of the rate-anchor row is a judgement about the future that no amount of data settles. The first is uncertainty that has been quantified, the second is uncertainty that has not. The tax row deserves its own note: at a uniform 15% the value falls to AED 5.20, a loss of AED 1.21 a share, and that is the priced cost of the shipping relief being withdrawn. Every row is a full re-run of the unit build and the bridge, not a multiplier applied to a finished number.

2 Technical and price structure

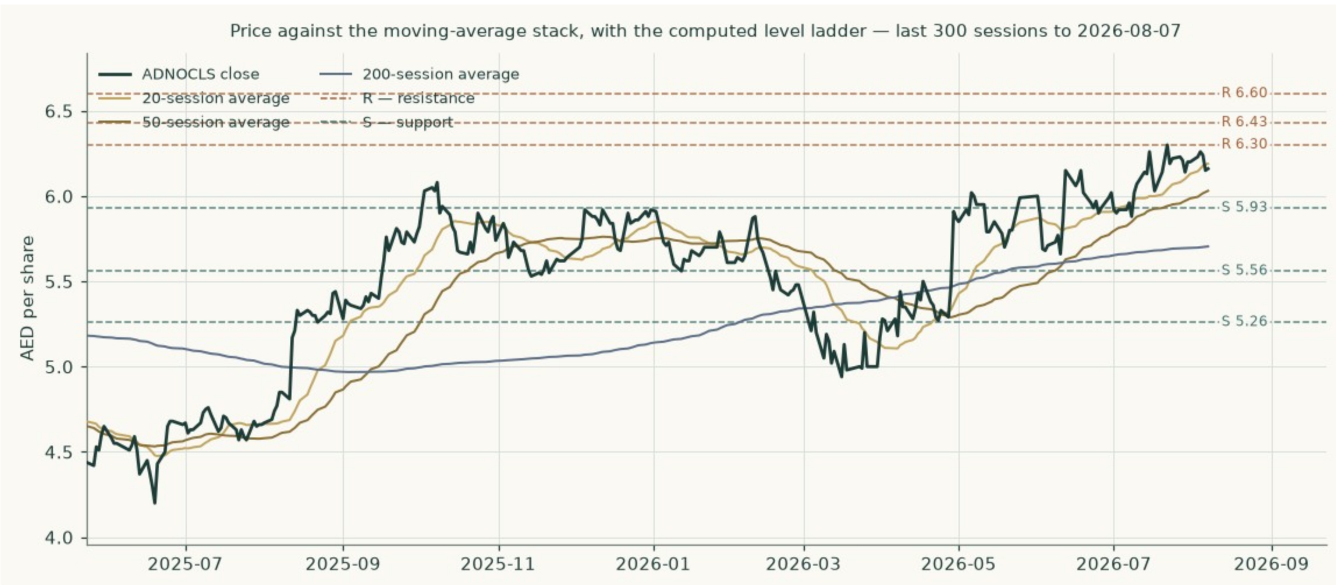

Figure 5 — price against the 20-, 50- and 200-session moving averages with the computed support and resistance ladder, to 2026-08-07.

Marker	Level (AED)	Reading
Last close	6.16	the anchor for everything in this study
20-session average	6.19	price is -0.5% against it; the average is rising
50-session average	6.03	price is +2.1% against it; the average is rising
200-session average	5.70	price is +8.0% against it; the average is flat
Nearest resistance	6.30	then 6.43 and 6.60; levels are computed from recency-weighted pivot clusters, not drawn by hand
Nearest support	5.93	then 5.56 and 5.26; the nearest support has been touched 12 times in the window
52-week range	4.65 – 6.44	the close sits 4.3% below the high and 32.5% above the low
Relative strength index (14)	51.91	neutral — neither stretched nor washed out

Marker	Level (AED)	Reading
Average true range (14)	0.11	about 1.9% of the price a session — a normal tape
Moving-average crossover	40 sessions ago	the 50-session average crossed above the 200-session; the configuration has held since
Annualised volatility	28.2%	the current state of the range-based volatility model, and the input that sets the width of the cone in section 3

The price closed 6.16 above a rising 50-day (6.03) and a flat 200-day (5.70), but below a rising 20-day (6.19). Momentum is neutral: RSI(14) is ~52 and the daily ATR near 0.11 (~1.9%) points to a normal tape. MACD (12·26·9) is above zero but rolling over (+0.05 / +0.07 / −0.01). Over the last year it has ranged 4.65–6.44; the last close sits 4% below that high and 32% above that low.

The structure to watch is straightforward. A daily close back above 6.30 would clear the nearest resistance and open the 6.60 zone. A close below 5.93 would break the nearest support and open the 5.26 zone. None of this is a valuation argument — it is the price context the valuation has to be read against. It is worth noting where the fundamental estimates sit relative to this ladder: the weighted central of AED 7.05 sits above every computed level, the highest of which is 6.60, the cash-flow lens on its own, at AED 6.40, sits between the computed levels of 6.30 and 6.43, the equal-weight composite reading of AED 8.24 sits above every computed level, the highest of which is 6.60, and the asset lens at AED 3.66 sits below every computed level, the lowest of which is 5.26. A valuation and a level ladder are unrelated constructions and any agreement between them proves nothing; the placement is computed off the same ladder printed above rather than described, so it cannot go stale while the table beside it moves.

3 A probabilistic price map

This section answers a different question from the valuation. It does not ask what the business is worth; it asks where the share price could plausibly be in one and three months, given how this share has actually moved. Fifty thousand price paths are simulated from a volatility model fitted to the daily high-low-open-close range, with a fat-tailed shock and a drift anchored to the cost of carry — the local deposit rate of 3.65% less the dividend yield of 2.75%, which is a cost of money and not a directional view.

The widths are tested rather than assumed, and the test is worth stating in plain terms. Over the share's listed history the three-month distributions scored +2.95% better than a random-walk benchmark anchored on the same cost of carry, across 8 independent non-overlapping windows with origins from 2024-06-21 to 2026-03-24, each one forecast using only data available before it. Outcomes fell across the distribution roughly evenly rather than bunching at one end: a uniformity test on where each outcome landed returns p = 0.64, and a second test of the same thing returns p = 0.53. Coverage was 38% inside the 50% band, 75% inside the 80% and 88% inside the 90% — close to advertised at the wide bands, light at the narrow one on a sample of only 8 windows. The one-month horizon has more windows and behaves better: 24 of them, coverage 67% / 88% / 96%, uniformity p = 0.48, and a score +0.03% against the benchmark — level with it rather than ahead of it. Pooling 91 three-month windows that start on staggered dates and therefore overlap one another gives +0.66% and coverage of 52% / 84% / 96% — a larger sample, but one whose windows are not independent of each other, so it corroborates the picture rather than adding new evidence to it.

Two limitations belong here rather than in a footnote. First, the bands are about 18% wider than the benchmark's, which is a real cost and means the model buys its accuracy partly with width. Second, this share listed in June 2023, so the cleaned series spans 3.2 years and a five-year set of origins does not exist for it — the width setting rests on the wider market panel of 18 Abu Dhabi names and 261 windows, which scored +0.68% against the benchmark with a

90% interval of -0.1% to +1.4%. On both the individual share and the panel the honest summary is the same: the model is level with or modestly ahead of a random walk and its stated probabilities are close to true, which is what this map claims and no more.

This is a map of price dispersion, not a forecast, and it is never blended with the fair-value work above.

Figure 6 — the forward price cone to three months. The dashed lines are the two fundamental centrals: AED 7.05 on the beta measured against the published index, and AED 8.24 on the equal-weight composite.

Percentile map (AED per share)

Horizon	5th	25th	Median	75th	95th	Above the price today
1 month (to 2026-09-07)	5.47	5.89	6.16	6.45	6.93	50%
3 months (to 2026-11-09)	4.95	5.67	6.18	6.73	7.73	51%

The check dates are calendar dates fixed when the map is struck: one month and three months from 2026-08-07, rolled forward to the exchange's first real trading session. The median barely moves from the price today because the drift is a carry, not a view.

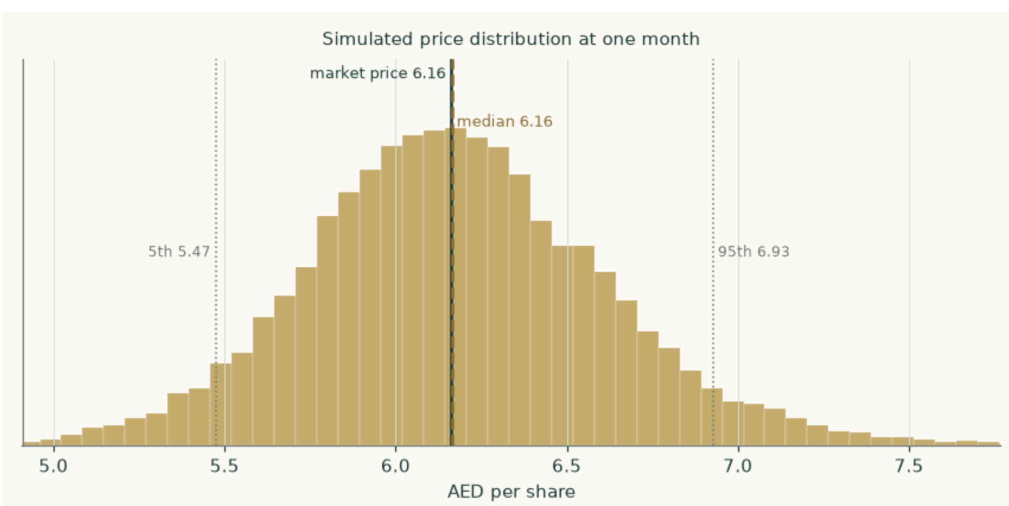

Figure 7 — the one-month outcome distribution.

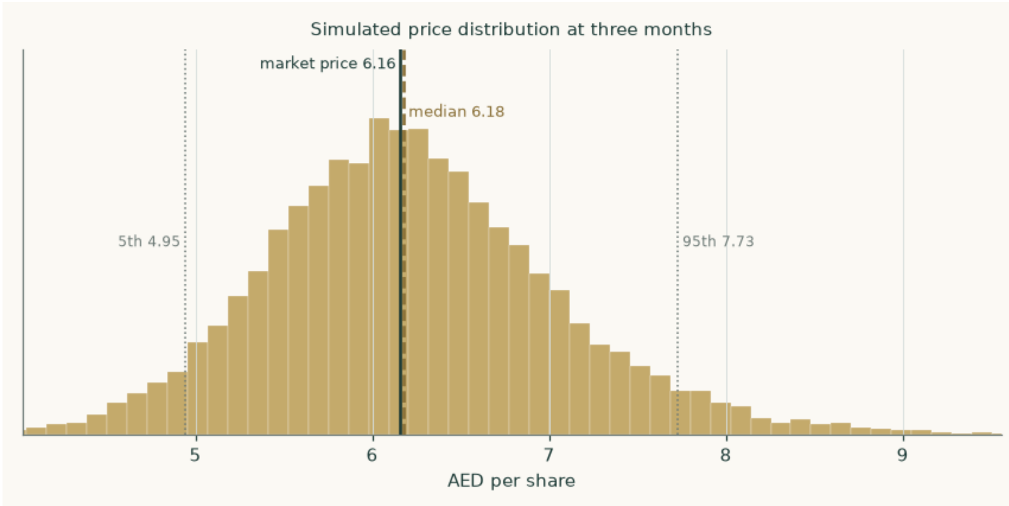

Figure 8 — the three-month outcome distribution.

Level-touch ladder

Event	1 month	3 months
Finishes 10% or more above the price today	9%	23%
Finishes 10% or more below the price today	7%	20%
Touches 10% above at any point	14%	42%
Touches 10% below at any point	11%	36%

Touch probabilities exceed finish probabilities because a path can visit a level and come back. The distinction matters for anyone thinking about a level rather than a date.

4 Comparison of the lenses

Read	What it says	What it assumes
Fundamental — published index	AED 7.05, +14%	that the share's own listed history, measured against its exchange's published index, describes its risk, and that the tanker fleet reverts to its FY2024-FY2025 average rate
Fundamental — equal-weight composite	AED 8.24, +34%	that the market is better represented by an equal-weight composite of the exchange's names than by its published index, with the same operating forecast
Cash flow alone, published index	AED 6.40, +4%	a cost of capital gliding 8.56% to 7.8%
Cash flow alone, equal-weight composite	AED 9.37, +52%	the same, gliding 7.00% to 6.3%
Multiples, blended	AED 8.64, +40%	that a contracted shipowner's multiple and a spot owner's multiple, blended on this company's own disclosed spot exposure, describe it
Sum of the parts	AED 10.04, +63%	the same two multiples applied where each belongs rather than to the group
Rates hold near current levels	AED 7.94, +29%	that the fleet settles well above its own recent average — the direction the company's guidance points
The market	6.16	revealed preference of the marginal buyer
Three-month price map	median 6.18, 51% chance of finishing above the price today	that volatility persists as it has; no view on value at all

Read down that table and the striking thing is how little room there is between the reads that stay closest to the company's own reported cash. The cash-flow lens lands at AED 6.40, 4% above the market price; the expert panel in Appendix C, which prices mid-cycle earnings and capitalises no terminal value at all, centres at AED 6.11, 1% below the market price. Two constructions that share no machinery land within AED 0.29 of each other and both within a few per cent of the screen. The two multiple lenses land materially higher, but they import their cost of capital from comparators rather than state one — and they import the same three multiples as each other, so they are one piece of evidence about relative pricing rather than two independent answers (section 1.5). The asset lens lands materially lower, on carrying values the company's own vessel sale says are understated. Read together, the evidence brackets the screen price rather than pointing away from it.

This is a weaker claim than the study previously made, and the reason is worth stating plainly. The cash-flow lens rests on a beta of 1.103, measured on 159 weekly observations against the FTSE ADX General Index — the published index of the share's own exchange. The economic prior for a fleet owner has always been that it carries the risk of the market its ships trade in whoever signs the charter, and that prior and the regression now say the same thing. Measure the market instead as an equal-weight composite of the same exchange's names and the beta falls to 0.705 and the central rises to AED 8.24 — a difference of AED 1.19 a share that turns entirely on index weighting. Both numbers are in this document at full size and neither is hidden inside an average, but the adopted one is the published index, and on it this share is close to fairly priced rather than materially cheap. The composite reading should be read with one further fact attached to it, and it is not the fact the previous edition attached. At 0.705 it now sits inside the adopted estimate's own 90% interval of [0.586, 1.621] — the interval widened when the beta was re-measured, and it is now wide enough to contain the composite, which the narrower interval of the last edition was not. So the composite is not a bolder number than the statistics support; it is a different definition of the market, and the question it raises is which market this share should be measured against rather than how aggressive a discount rate one is willing to take.

No recommendation and no forecast of the share price is expressed here or anywhere else in this document. The output is a range and a distribution.

5 Catalysts to watch

Catalyst	Why it matters	What to watch
Second-quarter and half-year results	the second-quarter published rate of USD 260,000 a day for the largest class was an indication given on a call, not a reported figure; the half-year statement is the first hard confirmation	the reported time-charter equivalent by class against the indicated levels, and whether the third quarter is being framed up or down
Where rates settle, not where they peak	the base case reverts to the mid-cycle anchor over four years; the whole AED 2.05 of the rate sensitivity sits in that path	one-year time-charter fixtures rather than spot prints — a forward commitment is the market pricing duration, which is what this model needs
Tanker supply	an order book near 27% of the trading fleet is the mechanism by which the cycle ends	deliveries against scrapping, and whether ordering continues at these rates
The contracted expansion delivering	gas carrier vessel-years rise from 12.0 in 2026 to 30.0 by 2029, which is what takes spot exposure down from 31% to 23% of earnings	on-time delivery of the ethane and Ruwais carriers, and new long-term charters
Capital allocation, because the model runs to net cash	on this build net debt falls from 1.13× earnings in 2026E to net cash by 2030E, against a stated target of 2.0× to 2.5×. The company will not sit there — and the purchase announced on 7 Aug 2026 is the first evidence of that, USD 1.3 billion of it, committed within days of the balance sheet this study values	further acquisitions, a step-up in distributions beyond the stated 5% a year, or a larger newbuild programme — see section 7

Catalyst	Why it matters	What to watch
The tax relief on international shipping	the shipping units bore about 1% in FY2025; a uniform 15% would cost AED 1.21 a share	any change to the exclusion of international shipping income from the domestic minimum top-up tax
Offshore Projects	the least visible line in the model: FY2025 revenue of USD 531 million falls to a guided USD 125 million in 2026E after the large island project completed	new engineering and construction awards replacing the completed work
The perpetual capital securities	USD 2.0 billion ranking ahead of the ordinary shares, worth AED 0.37 a share between the two treatments	any call, refinancing or reset of the coupon

6 Reading the probability zones

The three-month distribution has a median of AED 6.18 and a 5th-to-95th span of 4.95 to 7.73. Read that honestly: the model treats a -20% move and a +25% move as equally unremarkable tail outcomes over a single quarter. Anyone who finds that range uncomfortably wide is reacting to the volatility of the share, which has run near 28% annualised, rather than to the model.

Zone	Three-month range (AED)	How to read it
Lower tail	below 4.95	a 1-in-20 outcome; would need a genuine shock — a rate collapse faster than any in the recent record, or a change in the contracted relationship with the parent
Lower half of the central band	5.67 – 6.18	ordinary drift lower; the asset lens sits well below this zone and no other fundamental read in the study reaches down into it
Upper half of the central band	6.18 – 6.73	ordinary drift higher; the cash-flow lens on its own sits inside this zone, so no repricing of the business is needed to reach it
Upper tail	above 7.73	a 1-in-20 outcome; the zone in which the market would be pricing the rate strength as durable, or the equal-weight reading of the discount rate
Where the weighted central sits	7.05	between the 75th and 95th percentile of the three-month distribution. Reaching it inside a quarter is an ordinary outcome rather than a repricing
Where the cash-flow lens alone sits	6.40	between the 50th and 75th percentile of the three-month distribution — close enough to the price today that the distribution treats the two as the same place
Where the expert panel centres	6.11	between the 25th and 50th percentile of the three-month distribution. Three methods that share no machinery with the cash-flow model land essentially on the screen price
Where the equal-weight composite central sits	8.24	above the 95th percentile of the three-month distribution
Where the asset lens sits	3.66	below the 5th percentile of the three-month distribution — the one fundamental read the three-month distribution treats as a tail outcome

7 Caveats and what would change our mind

- **The beta moves the answer more than anything else, and it is measured less precisely than the last edition of this study implied.** Regressed against the FTSE ADX General Index, the beta is 1.103; regressed against an equal-weight composite of the same exchange's names it is 0.705, worth AED 2.97 a share on the cash-flow lens. Across the beta range tested in section 1.9 the swing is AED 5.07, still the widest single sensitivity in the study. One part of this argument has closed: it is no longer an unresolved dispute between a regression and an economic prior, because the published index of the share's own exchange is the right yardstick and the two now agree. The other part has WIDENED. Re-measured on the exchange's own trading week, the same regression carries a standard error of 0.315 on 3.1 years of history and a 90% interval of [0.586, 1.621], against [0.758, 1.412] in the previous edition. The bear and bull cases take those bounds at full width rather than narrowing them, so the published range is wider than it was and it should be. A longer history is the only thing that tightens this, and the share is a constituent of the index it is measured against, which pulls the estimate up rather than down (section 1.8).

- **The terminal value is most of the answer.** 75% of the cash-flow model's enterprise value is the terminal value on the adopted construction, 81% on the equal-weight composite. That is high, and it is the arithmetic consequence of discounting a business whose explicit years are depressed by a heavy capital programme — capital expenditure runs USD 1,375 million in 2026E against earnings of USD 2,086 million. The terminal assumptions are stressed across the cost of capital, growth and the rate anchor in section 1.9, and the growth in the perpetuity is paid for through an explicit reinvestment rate rather than assumed free.
- **The build sits above the company's own guidance, on purpose.** The 2026E build is +29% above the guided group earnings midpoint — +42% in Shipping. Management states that its shipping assumptions are set well below prevailing spot rates and its logistics guidance at minimum activity levels. This build marks the fleet to the rates the company itself reported and indicated. Both numbers are in section 1.6 and the gap is not reconciled anywhere below; a reader who prefers the guided figures should scale the first forecast year accordingly.
- **The modelled balance sheet goes to net cash, and the company will not allow that.** On this build net debt falls from 1.13× earnings in 2026E to 0.51× in 2028E and turns to net cash of USD 665 million by 2030E, against a stated medium-term target of 2.0× to 2.5×. At the low end of that target the 2030E balance sheet would carry about USD 4,114 million of net debt, so the modelled path leaves roughly USD 4,779 million of unused capacity, on top of an undrawn committed revolving facility of USD 2.0 billion. The company will either lever up for acquisitions or return more capital, and on 7 Aug 2026 it did the first: USD 1.3 billion of vessels, committed within days of the balance sheet this study values, and now carried in the model. This does not change the answer, and the reason is worth being explicit about: free cash flow to the firm is struck before financing, so the enterprise value is indifferent to the mix of debt, dividends and buybacks. What the choice changes is the shape of the return to shareholders and the risk profile of the equity — not what the operating business is worth.
- **There is no net-asset-value lens, which is the sector standard for a shipowner.** The conventional way to value a fleet owner is vessel by vessel at independent broker valuations, bridged to equity. Those valuations are not obtainable from this research environment, so the book-value lens stands in for them at 15% weight. The only direct evidence on the gap between carrying value and market value is the January 2026 sale of a 2017-built very large crude carrier for USD 111 million against a carrying value of USD 83 million — 1.34× book, on one vessel, in a strong market. It says the book lens is biased conservative, but one transaction is not a fleet valuation and it is not extrapolated into the numbers.
- **The second-quarter rate is an indication, not a reported figure.** The published USD 260,000 a day for the largest class in the second quarter of 2026 is the level the company indicated on its first-quarter call, not an audited or reported outcome. It is one of the four quarters that sets the 2026E rate, so an error there flows into the first forecast year. The reported half-year will settle it.
- **One rate substitution is still carried in the fleet build, and a second has been replaced.** Quarterly rates for the medium-range class are not disclosed for FY2024, so the FY2025 average stands in. That one remains, and it is labelled as a substitution wherever it

appears. The second has gone: an earlier edition carried the handysize vessels, which are not broken out in any published rate table, at the medium-range rate unadjusted. That was not merely imprecise — it had the sign wrong. The company said on the first-quarter call that handysize rates were SOFTER while medium range was UP, so the two smallest classes were moving in opposite directions and the substitution was importing a rise into a class that was falling. They are now carried at 0.79× the medium-range rate, which is the relative move the company itself disclosed rather than a stand-in. The two classes together are 18 of 52 vessels and the lowest earners in the fleet, so neither is large — but a substitution that points the wrong way is a different kind of error from one that is merely approximate, and it is corrected rather than re-flagged.

- **The vessels bought on the anchor date are announced, not delivered.** The USD 1.3 billion purchase of 11 vessels was announced on 7 Aug 2026 and none of them had been delivered when this study was struck. The model carries them from their announced delivery dates and adds the announced price to net debt, which is the only treatment that keeps the fair value and the market price on the same set of assets — the market price this study is compared against was set on the day of the announcement. What is assumed is that the vessels arrive on the announced schedule at the announced price, and that they trade on the same rate path as the rest of the class. A delayed delivery would take earnings out of 2026E while leaving the debt in; a price different from the one announced would move the bridge directly. The half-year and full-year statements are the first confirmation of either.
- **The open-market rate is solved out of a published average, and that construction has a load-bearing assumption inside it.** The company publishes one rate per vessel class per quarter and states that it is blended across the whole class. This study takes the 12 vessels on charter out at their own disclosed rates and solves the rest out of that average, which gives USD 199,838 a day for the largest class in the first quarter of 2026 against a published USD 145,000. The arithmetic is exact only if the published average is a straight vessel-day average of the whole class. If the company weights it differently, or if a vessel was off-hire for part of the quarter, the solved rate is too high by the same amount the average is understated. The check available is that where a class has no vessel on charter out the two figures come out identical, which they do. The half-year statement, which reports the second quarter rather than indicating it, is the first outside test of the construction.
- **The fade in the asset lens is a judgement with nothing observable behind it.** Residual income beyond the fifth year is carried as a remainder decaying at 10% a year, worth USD 547 million of the USD 7,366 million this lens produces. The economic argument for a fade is solid — a fleet has to be replaced at market prices rather than at the value it is carried at, so a return above the cost of equity cannot persist unchanged — but the speed is chosen, not measured. A slower fade raises this lens and a faster one lowers it. The lens carries 15% weight, which is the lowest of the four, partly for this reason.
- **Two unit inputs are solved rather than sourced.** Per-vessel running cost of USD 9,164 a day is solved so that the owned fleet's earnings reproduce the reported FY2025 result, and the gas carrier day rate of USD 61,573 is solved from reported FY2025 revenue over consolidated vessel-years. Neither is disclosed at a finer level anywhere in the filings. Both are labelled as solved wherever they appear, and both are anchored on a reported outcome rather than assumed.
- **The revenue gross-up for the tanker fleet is presentational at the earnings line — and an earlier edition of this study said it could not reach the valuation, which was wrong.** Reported Tankers revenue was 2.74× the owned fleet's own charter-equivalent revenue in FY2025, because of chartered-in and relet trading that carries almost no margin. The forecast sets that ratio at 1.60× from 2026E, on the evidence of the first quarter, where revenue fell year on year while the rate earned per vessel more than doubled. The earlier edition printed this caveat with a claim attached: that the ratio moves the revenue line and never the earnings line, SO IT CANNOT AFFECT THE VALUATION. The

first half of that is true and the conclusion does not follow, and the correction is printed here rather than the sentence being quietly dropped. Revenue is not only an output — it is the denominator the working-capital cycle is expressed in. Receivable days were calibrated on FY2025 revenue, which carries the 2.74× gross-up, and then applied to a forecast revenue line built at 1.60×. Two different conventions on the two sides of one ratio understate the receivable balance, and the change in working capital is a line in the free-cash-flow waterfall. Re-based onto the revenue the forecast actually produces, 108.4 days becomes 126.4 — and that reaches the valuation, through working capital, by exactly the route the earlier caveat said did not exist. A study that quietly drops a claim it has made is worse than one that says the claim was wrong. Separately and still true: a reader comparing this study's revenue forecast with a broker's should know the two may be on different conventions.

- **The four lenses are less independent of one another than four lenses sound.** The relative lens and the normalised lens apply the SAME three multiples to two different earnings denominators — the first forecast year in one, the five-year average of the same forecast in the other. Between them they carry 45% of the weighted central, so that much of the headline rests on one method presented as two reads. Both denominators are legitimate questions and neither read is redundant on its own terms, so nothing has been dropped — but the overlap is not neutral in direction. Those two lenses are the two that sit highest; collapsing them to one would move the central toward the cash-flow and asset lenses, which sit lower. This is the largest single item the reviews raised that has been left open rather than acted on, and it is stated here so that a reader weighs the field knowing it.
- **The tax relief on international shipping is a policy, not a right.** The model taxes each unit at its own disclosed FY2025 effective rate, which is about 1% in shipping because international shipping income is excluded from the UAE's domestic minimum top-up tax rules. That exclusion is a policy choice. Priced at a uniform 15% across the group, fair value falls to AED 5.20.
- **The price history is short, and it is short in a specific way.** The share listed in June 2023, so the cleaned series spans 3.2 years. That is short for a beta and too short for a five-year test of the price map, which is why the map's width setting rests on the wider Abu Dhabi panel and why the beta is set out against three separate market series in section 1.8 rather than accepted at face value. One further limit belongs here: the index series supplied ends 2026-07-24, before the share's last session used elsewhere in this study, so 2 weekly observations sit outside the regression. The window was stopped where the index stops rather than pairing the share against a stale index level.
- **What would change our mind, specifically.** Upward: one-year time-charter fixtures settling durably above the mid-cycle anchor used here; the contracted gas programme delivering on time and taking spot exposure below the disclosed 23%; a longer price history that settles the beta toward the lower end of its interval as the contracted programme comes in, which would lift the cash-flow lens directly. Downward: the same history settling it toward the upper end; rates reverting faster than the four-year glide assumed here; the shipping tax relief being withdrawn; a capital programme that grows without a matching contracted return; or evidence that the contracted relationship with the parent is repriced rather than renewed.

What changed in these editions, and why

This study has been through two rounds of external review. 4 independent readers raised 166 findings between them. Every one was priced — what would it move the answer by, if it were right — and then adjudicated on its own evidence rather than on its confidence. Many were rejected with the receipt that rejects them; the ones that survived are below. None of this is presented as refinement: several were errors, and they are called errors here. A study that has been corrected and does not say so is worse than one that was right the first time, because the reader has no way of telling which they are holding.

Edition	Cash-flow lens (AED)	Weighted central (AED)	Against the market price of 6.16
As first issued	5.69	6.60	+7%
After the first round of corrections	6.03	6.58	+7%
This edition, after the second round	**6.40**	**7.05**	**+14%**

Read the two rounds together and the headline has moved less than the work behind it. The first round changed the central by AED -0.02 — essentially nothing — while replacing the tanker build, the cost of capital, the asset lens and the treatment of the joint ventures, because the corrections ran in both directions and very nearly cancelled. The second round moved it AED +0.48, and almost all of that is one item: a vessel purchase the first edition did not know about. The composition of the answer has changed far more than the answer has, which is the honest summary of both rounds.

Round one — the corrections made in the previous edition

What changed	What was wrong before	What it is now	Which way it moved the answer
The tanker fleet is built vessel by vessel	The company publishes one rate per vessel class per quarter, and that rate is a blend across the whole class — the chief financial officer said so in terms on the first-quarter call. The earlier edition read it as the open-market rate AND then added the vessels on charter out separately at their own lower rates, so the drag of the charters was charged twice.	Each of the 12 vessels chartered out earns its own disclosed rate for exactly the days its own contract runs, and the open-market rate is solved out of the published blend rather than assumed. For the largest class in the first quarter of 2026 that gives USD 199,838 a day against a published USD 145,000. Section 1.7.	UP. The fleet starts from a higher rate, and the same reversion judgement applied to a higher starting point produces a higher value.
The perpetual capital securities are priced in the cost of capital	They were deducted in the bridge as a claim ranking ahead of the ordinary shares but left out of the weights in the cost of capital, on the ground that including them would charge for them twice. That was a non-sequitur, and two of the four reviews said so independently: deducting a claim from value and pricing the capital it supplies are different operations, and doing only the first removes a cheap tranche of funding from the enterprise without letting it lower the rate.	They now carry a weight of 12.8% at their own coupon of 4.90%, beside ordinary equity at 80.0% and debt at 7.2%, and that cost normalises with the risk-free rate in the terminal because the coupon floats. The cost of capital falls from 9.09% to 8.56% and the terminal rate from 8.29% to 7.80%. Section 1.8.	UP, and this is the largest of the five. A lower discount rate raises a valuation in which most of the value sits beyond the fifth year.
The joint ventures are counted once	The earnings the company discloses for each business unit already include the group's share of its equity-accounted joint ventures — USD 21 million inside Gas Carriers and USD 16 million inside Services in FY2025, both visible in the segment note. The earlier edition forecast those earnings inside the units AND added the stakes again at carrying value in the bridge.	The joint-venture share is taken out of the unit earnings before the forecast starts. The stakes are still added in the bridge at their reviewed book value of USD 493 million, which is now the only place they appear. Sections 1.1 and 1.6.	DOWN. Forecast earnings are lower in both affected units, and the terminal value carries that reduction forward.

What changed	What was wrong before	What it is now	Which way it moved the answer
The asset lens is residual income, not a justified price-to-book	A justified price-to-book multiple assumes a steady state in which the company pays out everything it does not need to fund its growth — at this company's returns, 89% of earnings. It pays out 24% to 37% and compounds its book faster than its own cost of equity, which is the region in which that formula is not merely inaccurate but undefined.	Opening ordinary book, plus five years of returns earned above the cost of equity on that book, discounted, plus a remainder fading at 10% a year. Section 1.2.	DOWN, and by more than any other single change. On the same returns, the same cost of equity and the same growth, the justified-multiple form gives 2.26× book, or AED 5.70 a share; residual income gives AED 3.66. At 15% weight the difference is worth about AED 0.31 of the weighted central.
Earnings per share is struck after the perpetual coupon	Forecast earnings per share was profit attributable to ordinary AND perpetual holders divided by the ordinary shares. The coupon ranks ahead of the ordinary shares, so that figure belongs to somebody else.	Earnings per share is now profit after the USD 97 million annual coupon, over the ordinary shares. The figure before the coupon is kept as a memorandum line so the two reconcile. Appendix A.1.	DOWN by about 8.0% on the per-share earnings, which feeds the earnings-multiple leg of the comparison and normalised lenses.
Two smaller corrections, carried for completeness	The fleet was counted at the FY2025 year end, at 53 owned tankers, after a very large crude carrier had already been sold in January 2026. And the minority interests were deducted at book value with no explanation of why book was the right measure when the minorities take 8.8% of profit.	The fleet is 52 owned tankers at the valuation date. The minorities are deducted at USD 338 million: the USD 252 million arising on the tanker combination stays at book because that stake is contracted for purchase in mid-2027 at a price already deducted as deferred consideration, and only the remaining USD 20 million is lifted to its share of value. Sections 1.1 and 1.7.	DOWN, marginally, on both. The minority treatment costs AED 0.03 a share, not the AED 0.44 that applying the profit share to the whole equity value would have cost — the criticism was right about the premise and wrong about the conclusion.

Round two — the corrections made in this edition

The second round of review produced one finding that moves the answer materially and several that do not move it at all but damage the document — a table that does not foot, a claim that contradicts the model behind it, two conventions spliced into one series. The second kind is easy to wave through precisely because it costs nothing. They are corrected here on the same terms as the first kind.

What changed	What was wrong before	What it is now	Which way it moved the answer
A USD 1.3 billion vessel purchase is in the model	On 7 Aug 2026 — the anchor date of this study — the company announced the purchase of 11 vessels for about USD 1.3 billion. The previous edition omitted it entirely. That is not a modelling choice: it compared a fair value that excluded the vessels with a market price that already included them.	6 very large crude carriers and 5 gas carriers join the fleet on their announced delivery dates and earn from those dates; the USD 1.3 billion is added to net debt in the bridge and to the depreciating asset base. It also independently confirms the fleet count corrected in round one: the company says the purchase takes it to 14 crude carriers, and the corrected valuation-date count of 8 plus 6 is 14. Headline, company overview, section 1.1 and section 1.7.	UP, and it is nearly the whole of the second round. The earning fleet grows by more than the debt costs, on the rate path this study already assumed.

What changed	What was wrong before	What it is now	Which way it moved the answer
The smallest tankers are no longer carried at a rate that moved the opposite way	The handysize class is not broken out in any published rate table, so the previous edition carried it at the medium-range rate unadjusted. On the first-quarter call the company said handysize rates were SOFTER while medium range was UP — the two classes moved in opposite directions, so the substitution had the sign wrong, not merely the magnitude.	Carried at 0.79× the medium-range rate, the relative move the company itself disclosed. Section 1.7.	DOWN, and small: 2 of 52 owned tankers and the lowest earners in the fleet. A substitution that points the wrong way is still worth correcting.
Receivable days are re-based onto the revenue the forecast is built at	Receivable days were calibrated on FY2025 revenue, which carries a 2.74× gross-up over the owned fleet's own charter-equivalent revenue, and then applied to a forecast revenue line built at 1.60×. Two conventions on the two sides of one ratio.	Re-based onto the basis the forecast uses: 108.4 days becomes 126.4. Section 1.1.	DOWN. A larger receivable balance means a larger build in working capital, and the change in working capital is a line in the cash-flow waterfall. This is also what falsified a caveat the previous edition printed — see section 7.
The cost of debt is described as the average it is	The previous edition called the adopted pre-tax cost of debt a figure “weighted across the drawn book”. It is not weighted. It is the plain average of three constructions, one of which happens to be the balance-weighted one.	Published as an average, at 5.82%, with the genuinely balance-weighted construction shown beside it at 5.69%. Section 1.8.	NO MOVEMENT — the figure did not change, only the description of it. The two constructions are 13 basis points apart on a tranche that is 7.2% of capital.
The depreciation rate is kept, and now carries its evidence	A reviewer proposed replacing the rate used with the FY2025 realised rate of 6.75%. The previous edition gave no evidence either way, which made the choice look arbitrary.	The disclosed useful lives, the realised rate and the rate used are now shown together. Both candidates sit ABOVE what the stated lives imply for the fleet, because dry-docking components are written off over a few years; the rate used, 5.80%, is the LOWER — the more conservative of the two forward bases. Section 1.1.	NO MOVEMENT. The rate is unchanged; the reader can now see why, and disagree on the evidence rather than on assertion.
The earnings multiple is published on both bases	The previous edition applied the peers' FORWARD multiple to forward earnings, which is right, but quoted the company's own multiple on a TRAILING basis in the table beside peers shown forward.	Both bases are published throughout: the blend is 11.64× forward and 12.86× trailing, and the company is shown at 11.09× forward beside 15.97× trailing. Section 1.3.	NO MOVEMENT on the lens, which always used the forward blend. It removes a comparison that was not like for like.
Several tables that did not foot, or described themselves wrongly	The bridge from enterprise value to equity did not add up once the purchase above was in the model. The guidance reconciliation did not foot and called the study's own conversion of directional guidance “the midpoint of the ranges the company published”. Return on equity ran on closing equity in the reported years and average equity in the forecast years, inside one row and one sentence. The leverage ratio ran on two different earnings definitions in the same row. The price-to-book memorandum was struck on a wider book than the multiple printed above it. The published bear-to-bull range was described as the beta's own interval when it also moves the rate anchor and the capital programme.	Each is corrected in place and the superseded description is named rather than removed. Sections 1.1, 1.2, 1.3, 1.5, 1.6, 1.8, 1.9 and Appendix A.2.	NO MOVEMENT on any fair value. Every one of them was a defect in what the document says about itself, which is the class of finding that gets waved through because it prices at zero.

One thing did not change and is worth saying so. The reversion judgement in section 1.7 — that the fleet glides over four years to the average of what it earned in FY2024 and FY2025 —

is the same judgement it was, and it remains the largest open question in the study. The corrections above changed what the fleet is reverting FROM, not the view about where it settles.

Since the second round — the beta re-measured

One further change has been made since the corrections above, and it comes from method rather than from a reviewer. The beta is now produced by the same standard routine used for every share covered on this desk, which resolves the market series from the exchange the share is listed on, screens both series for data quality before pairing them, and measures the weekly returns on that exchange's own trading week. The market series it resolved is the one this study was already using — the FTSE ADX General Index — so nothing about WHICH market the share is measured against has changed. What changed is the grid the returns are measured on and the screening applied before they are paired, and on 159 weekly observations that moves the measured slope from 1.085 to 1.103 and widens its 90% interval from [0.758, 1.412] to [0.586, 1.621].

Two consequences, both of which make this document say LESS than the last one rather than more. The cash-flow lens falls to AED 6.40 and the weighted central to AED 7.05, because a higher beta discounts harder. And the bear and bull cases widen, because they are taken from that interval directly rather than chosen: the published range on the cash-flow lens is now AED 3.42 to AED 12.24. An interval that widens on re-measurement is information about how much a three-year price history can settle, and the answer is: less than the previous edition implied. The equal-weight composite reading of 0.705 continues to be published beside the adopted figure at full size throughout, and one thing said about it in the last edition is no longer true: it sits inside the adopted estimate's own 90% interval, where against the narrower interval of the last edition it sat outside it.

And one finding has been left open rather than acted on, which a reader should know before weighing the field. The relative lens and the normalised lens share all three multiples and the same weighting between the enterprise and earnings readings; what differs between them is only the earnings denominator those multiples are applied to. Together they carry 45% of the weighted central, so 45% of the headline rests on one method presented as two reads. It has not been changed, because both denominators are legitimate questions and neither read is redundant on its own terms. But it is not neutral in direction — those are the two lenses that sit highest — and it is the largest single item still outstanding from either round of review. Section 1.5 and section 7 both carry it.

Appendix A Financial statements

A.1 Income statement — three years reported and five years forecast (consolidated, USD mn)

USD mn	FY2023	FY2024	FY2025	2026E	2027E	2028E	2029E	2030E
Revenue	2,755	3,549	5,016	5,003	5,719	5,741	5,497	5,171
Direct and operating costs	(2,003)	(2,609)	(3,908)	(2,917)	(3,201)	(3,236)	(3,186)	(3,114)
Gross profit	752	941	1,108	—	—	—	—	—
General and administrative	(146)	(142)	(205)	—	—	—	—	—
Other income and charges	8	18	41	—	—	—	—	—
Earnings before interest, tax, depreciation and amortisation	**862**	**1,135**	**1,469**	**2,086**	**2,518**	**2,506**	**2,311**	**2,057**
margin	31.3%	32.0%	29.3%	41.7%	44.0%	43.6%	42.0%	39.8%
Depreciation and amortisation	(249)	(317)	(525)	(575)	(662)	(703)	(727)	(733)

USD mn	FY2023	FY2024	FY2025	2026E	2027E	2028E	2029E	2030E
Earnings before interest and tax	614	817	944	1,511	1,856	1,802	1,584	1,324
Share of joint ventures and associates	14	14	37	—	—	—	—	—
Net finance cost	(5)	(2)	(68)	(133)	(153)	(126)	(90)	(29)
Profit before tax	622	829	922	1,378	1,704	1,677	1,494	1,295
Income tax	(2)	(73)	(59)	(45)	(52)	(55)	(56)	(58)
Profit for the year	620	756	863	1,333	1,651	1,622	1,438	1,237
Non-controlling interests	—	—	(24)	(117)	(145)	(143)	(127)	(109)
Attributable to ordinary and hybrid holders	**620**	**756**	**839**	**1,216**	**1,506**	**1,479**	**1,311**	**1,128**
Perpetual securities coupon	—	—	(61)	(97)	(97)	(97)	(97)	(97)
Attributable to ordinary shareholders	—	—	777	1,119	1,409	1,382	1,214	1,031
Earnings per share (USD)	**0.080**	**0.100**	**0.110**	**0.151**	**0.190**	**0.187**	**0.164**	**0.139**
memorandum — before the perpetual coupon (USD)	—	—	—	0.164	0.204	0.200	0.177	0.152

Every reported line is taken directly from the company's audited consolidated statements. Two rows are house derivations and are labelled: earnings before interest, tax, depreciation and amortisation is earnings before interest and tax plus depreciation and amortisation — the audited statements carry no such line, and the company's own reported figure (USD 1,515 million in FY2025 against the USD 1,469 million used here) adds the share of joint ventures and one-off items; and forecast earnings per share is profit attributable to the ORDINARY shareholders over shares outstanding — that is, after the perpetual securities coupon of USD 97 million a year, which ranks ahead of them. An earlier edition struck it before that coupon, which overstated it by about 8.7%; the figure before the coupon is kept as the memorandum line so the two can be reconciled. The reported earnings per share in the first three columns are the company's own published basic figures and are not restated here. Forecast profit is struck after interest on the modelled debt path and after tax at each unit's own rate, so it differs from the free-cash-flow waterfall in section 1.1, which is a pre-financing measure by construction.

A.2 Balance sheet — condensed house layout (consolidated, USD mn)

USD mn	FY2023	FY2024	FY2025	2026E	2027E	2028E	2029E	2030E
Property, plant and equipment	3,807	4,543	6,884	9,096	9,794	10,452	10,544	10,582
Right-of-use assets	148	162	225	—	—	—	—	—
Joint ventures and associates	77	268	578	493	493	493	493	493
Intangibles and goodwill	63	62	71	71	71	71	71	71
Inventories	121	133	137	—	—	—	—	—
Receivables and amounts due from related parties	1,131	1,285	1,490	—	—	—	—	—
Payables and amounts due to related parties	(962)	(1,228)	(1,280)	—	—	—	—	—
Net working capital	**290**	**190**	**346**	**792**	**949**	**945**	**877**	**787**
Cash and cash equivalents	216	199	338	695	695	695	695	695
Total assets	5,746	7,003	9,965	—	—	—	—	—
Gross debt	290	739	1,032	2,717	3,060	2,594	1,977	930
Net debt	74	540	694	2,365	1,899	1,282	235	(665)
Perpetual capital securities	—	—	1,979	1,979	1,979	1,979	1,979	1,979
Non-controlling interests	—	—	265	272	272	272	272	272
Equity attributable to ordinary shareholders	**4,406**	**4,895**	**4,982**	**5,852**	**6,903**	**7,909**	**8,728**	**9,345**
Book value per share (USD)	0.5955	0.6616	0.6734	0.7909	0.9330	1.0689	1.1797	1.2631

USD mn	FY2023	FY2024	FY2025	2026E	2027E	2028E	2029E	2030E
Net debt / earnings	0.09×	0.48×	0.47×	1.13×	0.75×	0.51×	0.10×	-0.32×
Return on equity	14.1%	15.4%	16.8%	20.8%	21.8%	18.7%	15.0%	12.1%

All three reported years are audited; every line is the closing figure from the company's own consolidated statements, with no roll-forward. The forecast columns are a condensed layout carrying only the lines the model actually rolls forward — the fleet, working capital, the funding and the equity account — and lines that are not modelled are shown as unavailable rather than estimated. Book value per share excludes the perpetual capital securities, which the accounts include inside total equity. The perpetual securities are the reason total equity jumped from USD 4,895 million to USD 7,225 million in FY2025 while equity attributable to ordinary shareholders barely moved. Two ratio rows carry one definition each, end to end, and both were spliced in an earlier edition. Return on equity is attributable profit over CLOSING equity attributable to ordinary shareholders in every column; the forecast years were previously shown over AVERAGE equity, which is a different measure and made the series read as a rise where a consistent basis shows a fall. On the average-equity convention the same forecast years are 22.3% · 23.6% · 20.0% · 15.8% · 12.5%, and the residual-income lens in section 1.2 uses a third convention — OPENING book — which is the right one for that construction and is named there. Net debt to earnings is on the operating earnings definition used throughout this study in every column; the reported years were previously shown against the company's own wider reported earnings figure, which is a different denominator from the one the forecast columns use.

A.3 Forecast balance-sheet and cash-flow markers

USD mn	2026E	2027E	2028E	2029E	2030E
Capital expenditure	(1,375)	(1,245)	(1,245)	(700)	(650)
Change in working capital	(446)	(156)	3	69	90
Free cash flow to the firm	**215**	**1,060**	**1,205**	**1,620**	**1,437**
Interest on the modelled debt	(158)	(178)	(151)	(115)	(54)
Perpetual securities coupon	(97)	(97)	(97)	(97)	(97)
Ordinary distributions	(341)	(358)	(376)	(395)	(414)
Payout ratio on attributable profit	28%	24%	25%	30%	37%
Gross debt	2,717	3,060	2,594	1,977	930
Net debt	2,365	1,899	1,282	235	(665)
Net debt / earnings	**1.13×**	**0.75×**	**0.51×**	**0.10×**	**-0.32×**
Invested capital	9,959	10,813	11,468	11,491	11,440
Return on invested capital	14.7%	16.6%	15.2%	13.3%	11.1%
Cost of capital that year	8.41%	8.26%	8.11%	7.95%	7.80%
Spread	**+6.3pp**	**+8.4pp**	**+7.1pp**	**+5.3pp**	**+3.2pp**

Three things in that table are worth reading together. Free cash flow to the firm is only USD 215 million in 2026E — on earnings of USD 2,086 million — because the capital programme peaks at USD 1,375 million and working capital builds by USD 446 million in the same year. It then quadruples by 2029E as the newbuild programme delivers and spending falls back toward maintenance levels. That shape is why the terminal value carries so much of the enterprise value: the explicit years are the investment years. And the spread of return on invested capital over the cost of capital is positive in every year of the forecast, narrowing from +6.3 percentage points to +3.2 as the rate cycle normalises — this business creates value on the study's own cost of capital throughout, which is the single most important thing the cash-flow model says.

Appendix B Peer frame, risk register and the research register

B.1 Peers and the sector frame

Company	Market	Relevance	Caution
Qatar Gas Transport (Nakilat)	Qatar	the closest listed analogue to the contracted legs — long-term contracted gas shipping for a national energy company, the same customer structure	a pure contracted shipowner with no merchant fleet and no offshore logistics arm; its multiple describes the half of this company that is contracted and says nothing about the other half
Frontline plc	Oslo / New York	a large listed spot crude tanker owner — the right frame for the merchant fleet	no contracted revenue, a different tax and domicile structure, and a shareholder base that trades it as a rate proxy
International Seaways	New York	a second listed spot crude and product tanker owner, used with the first to average away single-company effects	fewer published measures; only the enterprise multiple is used from it
Offshore support and contracting names	Gulf and international	the right frame for Integrated Logistics, which is the largest earner	no listed comparator combines offshore contracting with a national oil company parent as customer and shareholder; the contracted multiple is used for this leg instead

The absence of a single clean comparable is itself a finding, and it is the reason the relative lens is constructed as a blend and cross-checked by the sum of the parts in section 1.3 rather than taken from one peer. Note what the comparators themselves say: the contracted shipowner trades at 12.26× enterprise value to earnings and the spot owners at 8.53× — a gap of 3.7 turns that exists for exactly the reason this study spends section 1.7 on. The market prices contracted marine earnings and spot marine earnings as different assets, and so does this study.

B.2 Risk register

Risk	Mechanism	Rough valuation impact
The rate cycle turning faster than assumed	the base case glides to the mid-cycle anchor over four years; a faster reversion compresses the explicit years and the terminal return on capital together	the rate-anchor row spans AED 2.05 a share
How the market is measured in the beta	the published index of the share's own exchange against an equal-weight composite of the same exchange's names	AED 2.97 a share between the two published constructions, and AED 5.07 across the beta range tested in section 1.9 — the widest single sensitivity in the study
Customer and shareholder concentration	the parent is both the controlling shareholder and the principal customer; about 53% of 2026E revenue is contracted with it	not priced as a separate line. It cuts both ways: it is why the contracted multiple is defensible and why a renegotiation would be severe
Capital intensity	USD 3,865 million of capital expenditure over the first three forecast years against cumulative earnings of USD 7,110 million	the capital-expenditure row spans AED 1.22 a share
Tax policy	international shipping relief withdrawn or narrowed under the minimum top-up rules	AED 1.21 a share at a uniform 15%
The perpetual capital securities	they rank ahead of the ordinary shares and their treatment in the bridge is a judgement	AED 0.37 a share between the two treatments

Risk	Mechanism	Rough valuation impact
Vessel values	no independent broker valuation of the fleet is available, so the asset lens rests on carrying value	one realised sale at 1.34× book suggests the bias is conservative; the size of it is unmeasured
Short price history	3.2 years of listed history constrains both the beta and the testing of the price map	addressed by corroborating the beta three ways and by resting the price map on the wider market panel

B.3 The research register — layers, dated, negative results included

Research for this study proceeded in four layers: the global backdrop, the country, the industry and the company itself. Figures the SUBJECT COMPANY reports about itself come only from its own issued statements and disclosures; no data vendor, broker or press report is the source of any of the subject's reported historical figures. That rule is scoped deliberately and the scope matters: the comparator multiples in section 1.3 ARE taken from data-aggregator statistics pages, named and dated, and were not recomputed from each comparator's own filings. It is the largest block of non-company data in the study, it is labelled wherever it is used, and the limitation it carries — that a comparator's earnings cannot be shown to be struck on the same definition as the subject's — is stated at the table rather than here. The full input-by-input register, with a value, a source, a date and a research layer for each of the several hundred inputs behind this study, is published as a separate document accompanying it. The primary documents are listed below, followed by the negative results — the things that could not be obtained, which shaped what could and could not be asserted.

Source	Layer	What it provided
Audited consolidated financial statements, four fiscal years to FY2025	Company	the whole of the reported income statement, balance sheet and cash flow, the operating segments note, the revenue-by-product note, the cost-line note, the borrowings and interest-rate notes and the share capital note
Reviewed condensed interim financial information, three months to 31 March 2026	Company	the balance sheet the valuation is built on, the perpetual securities note, the related-party facilities and the first-quarter segment result
Management discussion and analysis, FY2024, FY2025 and the first quarter of 2026	Company	net debt on the company’s own definition, first-quarter free cash flow, the distribution policy and the medium-term leverage target
Investor presentations, FY2025 and April 2026	Company	the fleet tables, time-charter equivalent by vessel class by quarter, charters out, gas contract vessel-years, contracted revenue, the spot-exposure disclosure and the earnings sensitivity to a change of USD 1,000 a day
Earnings call transcripts, FY2025 and the first quarter of 2026	Company	the first-quarter rates achieved and the second-quarter indication that section 1.7 turns on, and the guidance basis quoted in section 1.6
Related-party transactions report, FY2025	Company	the scale and pricing of the parent relationship
Published country-risk file, January 2026	Country	the UAE equity risk premium, country premium and sovereign default spread
Central bank policy record and government bond auction results	Country	the base rate, its last change, and the dirham government bond yield used as the risk-free rate
Listed peer statistics pages	Industry	the three comparator multiples used in the relative lens, each dated
Trade coverage of the tanker market	Industry	the one-year time-charter fixture and the order book share used as the outside evidence in section 1.7
Exchange price history for the share and the Abu Dhabi panel	Market	the beta regression, the technical read and the price map

- **No independent vessel valuations could be obtained.** The sector-standard net-asset-value lens for a shipowner requires broker valuations of each vessel. None were reachable from this research environment. The book-value lens stands in, at the lowest weight of the four, and the single realised vessel sale disclosed by the company is the only direct evidence on the gap.
- **Per-vessel charter rates are not disclosed for the gas fleet.** The company discloses vessel-years by contract but not rates. The day rate of USD 61,573 used here is solved from reported FY2025 revenue over consolidated vessel-years — the finest level the disclosure supports, and labelled as solved throughout.
- **Quarterly rates are not disclosed for every class in every year.** Medium-range quarterly rates are absent for FY2024 and the handysize class is not broken out at all. The substitutions used are stated in section 1.7 and in the caveats.
- **Vessel-level running costs are not disclosed.** The USD 9,164 a day used is solved so that the owned fleet's charter-equivalent revenue less running cost reproduces the reported FY2025 result for the unit.
- **The comparators' own filings were not used, and their multiples were not recomputed.** The three comparator multiples in section 1.3 come from data-aggregator statistics pages, each named and dated in the source register. Rebuilding them from each comparator's own accounts — three more sets of filings, on three different reporting conventions, in three different currencies — was not undertaken. The consequence is specific and is stated at the table itself: the study cannot demonstrate that a comparator's earnings are struck on the same definition as its own, which is a reason to read the comparison lens as evidence about relative pricing rather than as an independent valuation. It is the largest block of non-company data in the study, and the two lenses that rest on it carry 45% of the weighted central between them.
- **The UAE has no sovereign credit-default-swap entry in the country-risk file.** The alternative premium basis therefore cannot be built for this country, and the study says so rather than omitting the comparison silently. Gulf comparators that carry both bases show a gap of roughly seventy basis points between them, which is the scale of construction uncertainty a reader should attach to the single available figure.

Appendix C The expert valuation panel

Three valuation approaches are run against the same disclosed facts by three notional experts, each committed to a different method and each required to state in advance what would prove the method wrong. They are not asked to agree and they do not. All three work from the same unit build and the same balance sheet; what differs is what each one thinks a share of this company is a claim on.

C.1 Expert 1 — mid-cycle earnings power

Worldview: a business is worth a multiple of what it earns in a normal year. Cycles average out. Discount-rate models multiply small errors in the rate by very large terminal values and manufacture false precision — and in this particular case the discount-rate argument is unresolved, which is exactly why it should not be allowed to drive the answer. Find the mid-cycle earnings, apply a defensible multiple, stop.

When it works: for a business with a long enough record that a mid-cycle can be identified, and where the capital structure is stable. When it fails: when the multiple is imported from a market or a business model with a different cost of capital, and when the mid-cycle is guessed rather than measured. Here the second risk is real — this share has only 3.2 years of listed history and the fleet is in the strongest market in a decade, so the mid-cycle has to come from the forecast rather than from the record.

Line	Value
Mid-cycle earnings before interest, tax, depreciation and amortisation (USD mn) — the five-year average of the unit build	2,296
Less average depreciation and amortisation (USD mn)	(680)
Mid-cycle earnings before interest and tax (USD mn)	1,615
Less tax at the average unit rate (USD mn)	(58)
Less interest on the average gross debt (USD mn)	(131)
Plus finance income on the cash balance (USD mn)	25
Mid-cycle profit for the year (USD mn)	1,452
Less non-controlling interests at 8.8% (USD mn)	(128)
Less the perpetual securities coupon (USD mn)	(97)
Earnings to ordinary shareholders (USD mn)	1,227
Mid-cycle earnings per share (USD)	0.1658
Justified price-to-earnings multiple	12.0×
Fair value (AED per share)	**7.31**
Range (9.0× to 15.0×)	5.48 – 9.14

Named sensitivity: each single turn of the multiple is worth AED 0.61 a share, so the 9×-to-15× range above spans AED 3.65. And every USD 100 million of mid-cycle earnings before interest, tax, depreciation and amortisation — about 4.4% of the base — is worth roughly AED 0.54 a share at this multiple. Note what this method cannot see: it never asks what discount rate the multiple implies, so the beta argument that dominates the rest of this study is simply absent from it. That is the method's honest position, not an oversight.

Falsifier, stated in advance: Two consecutive years in which group earnings before interest, tax, depreciation and amortisation fall below USD 1.4 billion would show the mid-cycle level used here is set too high.

C.2 Expert 2 — owner cash earnings

Worldview: earnings are an opinion, cash is a fact. The only number that matters is what an owner could actually take out of the business each year after everything the business needs to keep running — including the capital expenditure that a fleet consumes and the coupon on securities that rank ahead of the owner. Capitalise that stream at the cost of equity and nothing else.

When it works: it is the right discipline for a capital-intensive business where reported profit and distributable cash diverge, which describes a shipowner precisely. When it fails: it undercharges nothing and overcharges growth — a company investing heavily ahead of contracted demand looks poor on this measure right up until the assets deliver, and this company is in exactly that phase.

Line	Value
Average free cash flow to the firm over the five forecast years (USD mn)	1,108
Less interest after tax (USD mn)	(120)
Plus finance income after tax (USD mn)	23
Less the perpetual securities coupon (USD mn)	(97)
Owner cash earnings (USD mn)	914
Grown one year and capitalised at the cost of equity less growth	× 1.02 ÷ (9.43% − 2%)
Equity value (USD mn)	12,545
Fair value (AED per share)	**6.23**

Line	Value
Range — the low end at a cost of equity of 11.95%, built on the top of the beta's 90% interval (1.621), with lower growth; the high end at 6.91% on the bottom of it (0.586) with higher growth	4.18 – 10.54

One thing this leg does NOT do, and it is a genuine inconsistency across the panel rather than a feature of the method. The stream it capitalises starts from group free cash flow, which includes the 8.8% of profit that belongs to the minority holders, and it never adds the joint-venture stakes that the main bridge and Expert 3 both add at book value. Expert 1 deducts the minorities and Expert 3 runs the full bridge; this one does neither. Put on the same bridge as the other two — the minority share out, the joint ventures in — this expert would land at AED 5.92 rather than AED 6.23, a move of AED -0.30. The published figure is left as the method produces it and the difference is stated here, because three experts presented as independent reads of one balance sheet should not be quietly running three different bridges.

This expert lands at AED 6.23, below the study's own weighted central of AED 7.05, and the reason is specific: the five-year average free cash flow of USD 1,108 million is dragged down by the investment years. Free cash flow to the firm is USD 215 million in 2026E and USD 1,620 million in 2029E; averaging a business across a period when it is building the assets that produce the later number is a real charge against it. That is the method doing what it says it does, and it is why the range extends as high as AED 10.54.

Named sensitivity: this method is a single-stage capitalisation, so it is more sensitive to the cost of equity than anything else in the study. Capitalise the same owner cash earnings at the cost of equity the equal-weight composite produces — 7.49% instead of 9.43% — and the answer is roughly AED 8.43 a share, a rise of about 35%. The direction is worth being explicit about: a lower discount rate raises a perpetuity, so the construction this study does not adopt is the generous one. Within the adopted construction, the two ends of the beta's own 90% interval are what set this expert's published range, and they span AED 6.36. This expert is therefore the one most exposed to the discount rate, and says so.

Falsifier, stated in advance: A year in which free cash flow to the firm falls below the ordinary distribution plus the perpetual coupon, without a matching fall in capital expenditure, would break the annuity this rests on.

C.3 Expert 3 — cash returns against the cost of capital

Worldview: value is created only when the return on invested capital exceeds the cost of that capital, and the amount created is the spread multiplied by the capital employed. Growth without a positive spread destroys value; growth with one compounds it. Start from the capital already invested and add the present value of the economic profit earned on it — which forces the question of whether a very large newbuild programme is worth funding, rather than assuming it is.

When it works: it is the sharpest available test of a capital programme, and it makes the discount-rate question unavoidable instead of burying it in a terminal value. When it fails: it is acutely sensitive to how invested capital is measured, and a fleet carried at historical cost after a large acquisition is exactly the case where that measurement is least reliable.

Line	Value
Invested capital at the valuation date (USD mn) — the fleet, working capital, intangibles and goodwill	7,432
Present value of economic profit, the five explicit years (USD mn)	2,547
Present value of terminal economic profit (USD mn)	3,468
Enterprise value (USD mn)	13,447
Less net debt, the perpetual securities and minorities, plus joint ventures (USD mn)	(3,779)

Line	Value
Equity value (USD mn)	9,668
Fair value (AED per share)	**4.80**
Range — the low end fades the economic profit hard, the high end lets it persist	3.43 – 5.87

Year	2026E	2027E	2028E	2029E	2030E
Return on invested capital	14.7%	16.6%	15.2%	13.3%	11.1%
Cost of capital charged — the explicit-window rate, held flat	8.56%	8.56%	8.56%	8.56%	8.56%
Spread	**+6.1pp**	**+8.1pp**	**+6.6pp**	**+4.7pp**	**+2.5pp**
Economic profit — net operating profit after tax less the capital charge (USD mn)	609	874	762	541	286

This is the most revealing exhibit in the study. The spread is positive in every forecast year — the business earns 15% on capital in 2026E against a cost of 8% — and it narrows steadily as the rate cycle normalises and the capital base grows. That is a company creating value throughout, but creating less of it each year, which is a very different picture from either a compounder or a value destroyer. Two conventions in this table are named so they cannot be confused with the ones used elsewhere. The return divides by closing invested capital, matching Appendix A.3; and the capital charge is the explicit-window cost of capital of 8.56% held flat across all five years rather than the declining schedule the cash-flow model discounts at, so the spread row is exactly the return row less 8.56% and the economic-profit row is exactly that spread on the same closing capital. Appendix A.3 shows the spread on the declining schedule instead, which is why the two tables give different spreads from the same returns. Note also that this leg's enterprise value of USD 13,447 million differs from the cash-flow model's USD 17,241 million: economic-profit and cash-flow valuations are algebraically identical on identical assumptions, and the gap here is entirely the different terminal treatment — a fading economic-profit perpetuity against a reinvestment-funded terminal value. Expert 3 is therefore a restatement of the cash-flow model under a different terminal discipline, not independent confirmation of it, and is read as such.

Named sensitivity: a one-percentage-point parallel reduction in the cost-of-capital schedule widens the spread in every year and lifts this valuation by roughly a fifth; the same move in the opposite direction removes about the same amount from a base of AED 4.80 that already sits 22% below the market price, and takes the fifth-year spread of +2.5 percentage points close to zero. Nothing in the operating build has a comparable effect on this method, which is the point it is making.

Falsifier, stated in advance: A return on invested capital that settles below the cost of capital for two consecutive years would remove the premium to invested capital this method rests on entirely.

C.4 Cross-examination

Challenge	From	Conceded or rejected
"Your multiple is a discount rate you have not written down. On mid-cycle earnings and this share count it implies a cost of equity near the low end of the range the rest of this study is arguing about — you have silently taken a side."	Expert 3 to Expert 1	Conceded. The multiple is a judgement and it does embed a cost of capital. The defence is only that it embeds one drawn from what comparable marine assets actually trade at rather than from a regression on three years of data. That is a weaker claim than the method usually makes, and it is the weakest joint in this leg.
"Averaging free cash flow across the five years charges the owner for a newbuild programme that is contracted and will earn. You are treating investment as if it were consumption."	Expert 1 to Expert 2	Partly conceded. Free cash flow rises from USD 215 million to USD 1,620 million as the programme delivers, so the average does understate the steady state. Rejected in part, though: the fleet is not a one-off build. Maintenance capital and fleet renewal recur, and every previous cycle in this industry has been ended by exactly the kind of ordering this programme is part of.

Challenge	From	Conceded or rejected
"Invested capital carries a fleet acquired at the top of a cycle at historical cost. If it is understated your spread is flattered; if it is overstated your whole method collapses toward book."	Expert 2 to Expert 3	Conceded, and the direction is disclosed. The one piece of evidence available points the other way — a vessel sold at 1.34× carrying value — which means invested capital is more likely understated and the measured return correspondingly flattered. That makes this leg's spread optimistic, not conservative, and it is stated here rather than left for a reader to find.
"All three of you are arguing about the numerator. The number that actually decides this valuation is the beta, and only one of you prices it."	The panel to itself	Accepted, and it is why the panel divides the way it does. Expert 1 never touches it. Expert 2 is fully exposed to it, which is why its range spans AED 6.36, struck at the two ends of the beta's own 90% interval. Expert 3 prices it year by year and finds the spread stays positive on either measurement of the market, which is the one useful thing the panel can say about it: the business creates value at both costs of capital — the argument is only about how much, and it is now an argument about statistical width rather than about which yardstick to use.

C.5 The three in one room

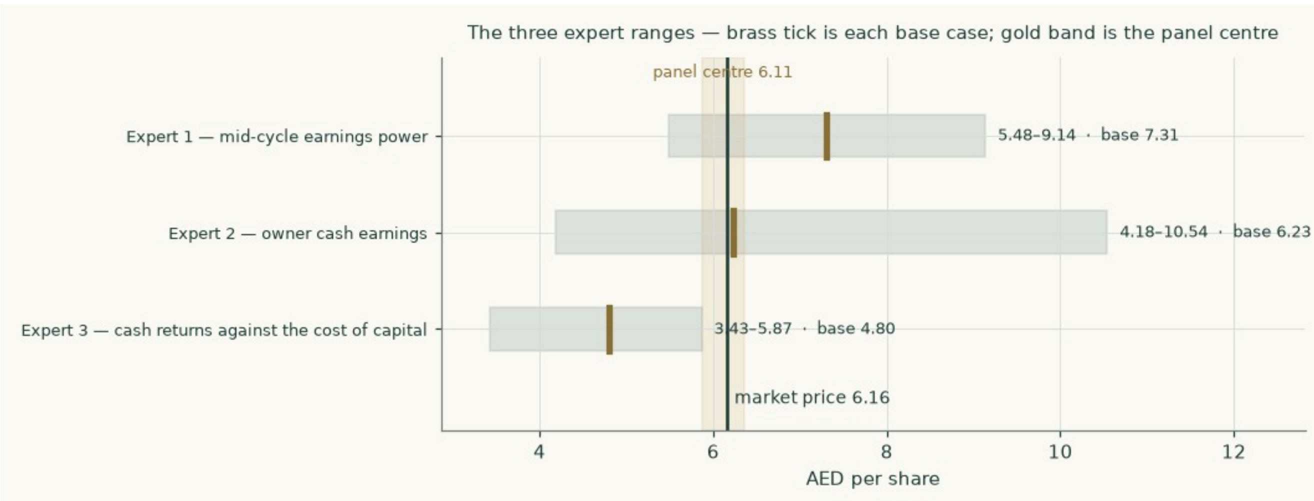

Figure 9 — the three experts' ranges. The brass tick is each base case, the gold band the panel centre of AED 6.11, the vertical line the market price of AED 6.16.

The panel spans AED 4.80 to 7.31 — a factor of 1.52 between the most and least generous base case, which is a narrow disagreement by the standards of this series. That narrowness is itself informative: three methods that share almost nothing methodologically land within AED 2.51 of one another. The market price of AED 6.16 falls inside that span, and so does this study's own cash-flow lens; the weighted central of AED 7.05 sits inside it as well.

The panel centre of AED 6.11 sits 1% below the market price and -13% against this study's weighted central. That gap is real and it has a single explanation: every one of the three experts works from mid-cycle or five-year-average earnings, and none of them capitalises a terminal value the way the cash-flow model does. The cash-flow model puts 75% of its enterprise value beyond the fifth year; the panel puts effectively none there. A reader who distrusts long terminal values should weight the panel; a reader who believes a contracted marine infrastructure business has a long life beyond a five-year window should weight the model. Both positions are defensible and the gap between them is stated at full size rather than smoothed.

C.6 Reading the divergence

Assumption	Expert 1	Expert 2	Expert 3	Why it swings the answer
Capital expenditure	ignored — an earnings measure	charged in full, averaged across the build years	charged through invested capital and the return on it	the largest single source of the gap between Experts 1 and 2
The cost of equity	implicit inside the multiple, never stated	9.43% explicit, and the whole answer moves with it	the full glide, year by year, on both sides of the spread	Expert 2 is fully exposed, Expert 1 not at all — which is why Expert 1 lands AED 1.08 above Expert 2 without ever taking a position on the question
Terminal value	none — no perpetuity at all	a single perpetuity of owner cash earnings	a fading economic-profit perpetuity	the cash-flow model puts 75% of its value beyond year five; none of the three does, which is most of why the panel sits below the study's central
The rate cycle	averaged into the mid-cycle earnings	averaged into the five-year cash flow	visible year by year in the narrowing spread	only Expert 3 lets the reader see the cycle turning rather than absorbing it into an average
The perpetual securities	charged as a coupon against earnings	charged as a coupon against cash	deducted at carrying value in the bridge and weighted in the cost of capital at their own coupon	the two bridge treatments differ by AED 0.37 a share in the main model
The minorities and the joint ventures	minorities deducted at 8.8% of mid-cycle profit; joint ventures not added	neither deducted nor added — the one inconsistency in this panel	both, on the same bridge the cash-flow model uses	putting Expert 2 on the same bridge as the other two would move it AED -0.30 and the panel centre with it. The published figures are each method's own; the gap is stated in C.2 rather than smoothed

The instruction to the reader is not to average these three. It is to decide which premise is true — whether a fleet's investment years should be charged against its owner, whether a marine business has value beyond a five-year window, and which cost of equity applies — and then to use the corresponding number. The disagreement is a map of what you need to have a view on.

About this series

This series publishes independent, educational valuation studies of listed companies. Each study is built from the company's own disclosed financial statements and named market data, states its assumptions explicitly, computes every figure in an auditable model rather than in prose, and publishes the ranges those assumptions produce. Studies never carry a recommendation or a forecast of the share price. Where a figure is estimated or solved rather than disclosed, it is labelled. Where a source could not be reached, the gap is recorded rather than filled.

Where a judgement has two legitimate constructions, both are computed and both are published side by side. This study does that twice: for the series the beta is measured against, which is the widest single sensitivity in it, and for the treatment of the perpetual capital securities. Neither pair is averaged, because an average of two constructions is a number that neither construction supports. Where a construction has been changed since an earlier version of a study, the superseded one is published alongside the new one at full size rather than quietly replaced — that is why the equal-weight composite reading of AED 8.24 appears throughout this document beside the adopted AED 7.05.

The same rule governs correction, and it extends to a study's own words about itself. Where a study has been reviewed and found wrong, the corrections are listed in the document itself, with the direction and the size of each, rather than absorbed into a new set of numbers that looks as though it was always there — and where a superseded edition made a CLAIM that later work falsified, the claim is reprinted and corrected rather than deleted. This edition does that twice: for a caveat that said a revenue convention could not reach the valuation, and for a cost of debt described as weighted when it is an average. This document carries the full list, under “What changed in these editions, and why”, immediately after the caveats. It covers both rounds of review and it is the section a reader who has seen an earlier edition should read first.

The probabilistic price map in section 3 is produced by a volatility model that is tested before it is allowed to publish a range: the model is re-run at successive past dates using only the data available on each of those dates, and every forecast it made is scored against what the price actually did, alongside a random-walk benchmark. It describes price dispersion and carries no view on value. It is never combined with the fair-value work.

Disclosure and disclaimer